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**IMMEDIATE
ATTENTION**

SM/12/292

December 4, 2012

To: Members of the Executive Board

From: The Secretary

Subject: **Chad—Staff Report for the 2012 Article IV Consultation**

Attached for consideration by the Executive Directors is the staff report for the 2012 Article IV consultation with Chad, which meets the criteria for consideration on a lapse of time basis.

In the absence of a request by an Executive Director by **noon on Friday, December 14, 2012**, that this matter be brought to the agenda of the Executive Board, the consultation will be deemed approved on Tuesday, December 18, 2012, by the Executive Board and the following decision will be recorded in the minutes of the next meeting thereafter:

The Executive Board endorses the thrust of the staff appraisal in the report for the 2012 Article IV consultation with Chad (SM/12/292, 12/4/12).

It is expected that the next Article IV consultation with Chad will take place on the standard 12-month cycle.

If an Executive Director requests that the matter be taken up at a Board meeting, the item will be placed on the agenda for discussion on a date to be announced.

Unless an objection from the authorities of Chad is received prior to the conclusion of the Board's consideration, the document will be published. Any requests for modifications for publication are expected to be received two days before the Board concludes its consideration.

Questions may be referred to Mr. Wieczorek, AFR (ext. 37338).

Unless the Documents Section (ext. 36760) is otherwise notified, the document will be transmitted, in accordance with the procedures approved by the Executive Board and with the appropriate deletions, to the WTO Secretariat on Wednesday, December 12, 2012; and to the African Development Bank, the European Commission, the Islamic Development Bank, and the Organisation for Economic Cooperation and Development, following its consideration by the Executive Board.

This document, together with a supplement providing an informational annex, will shortly be posted on the extranet, a secure website for Executive Directors and member country authorities. The supplement, which is not being distributed in hard copy, will also be available in the Institutional Repository; a link can be found in the daily list (<http://www-int.imf.org/depts/sec/services/eb/dailydocumentsfull.htm>) for the issuance date shown above.

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INTERNATIONAL MONETARY FUND

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STAFF REPORT FOR THE 2012 ARTICLE IV CONSULTATION

November 30, 2012

KEY ISSUES

Prospects: In the near term, growth will be stimulated by public investments in infrastructure, bringing on stream new oil developments, and by the recovery of agriculture from the 2011 drought. In the medium term, oil production is expected to rise from 120,000 barrels per day (bpd) in 2011 to about 180,000 bpd in 2015–17, with a corresponding increase in exports and government revenues. However, absent further oil discoveries, proven reserves will be exhausted in twenty years. This highlights the need for diversifying exports and improving the business climate for the non-oil sector.

Oil dependence: Oil accounts for over 70 percent of fiscal revenues, 90 percent of exports of goods, and 35 percent of GDP. As a result, Chad is vulnerable to revenue losses in case of an oil revenue drop. This underscores the need for a savings buffer.

Food security: The 2011 drought exposed more than one million Chadians to severe food shortages, prompting international humanitarian assistance. This experience underscored the need for a national strategy to strengthen resilience to shocks. The cost of ensuring food security should be evaluated and provided for in the budget.

Fiscal policy: In 2011, budget discipline improved, allowing for setting aside some resources as a savings buffer. These gains were short-lived. In 2012, budget discipline weakened and fiscal policy became expansionary. To achieve sustainability, fiscal policy should aim at a gradual tightening of the non-oil primary deficit to build a savings buffer against an oil revenue shock, and smooth the transition to the post-oil era.

Debt sustainability: The external public debt-to-GDP ratio rose from 25 percent in 2010 to 26½ percent in 2011, and will likely rise further over the medium term, reflecting the expected borrowing under the \$2 billion (18 percent of 2012 GDP) Master Facility Agreement signed in 2011. To mitigate the associated risk of debt distress, foreign debt-financed investment spending should be paced, taking into account absorptive capacity constraints and the anticipated decline in oil revenues over the long term.

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Approved By
**Mauro Mecagni and
Dhaneshwar Ghura**

Discussions took place in N'Djamena from September 11–27, 2012. The staff team comprised Messrs. Wieczorek (head), Fahlberg, Nachega (all AFR), Ms. Teodoru (SEC), and Mr. Topeur (resident economist)

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I. INTRODUCTION

1. **Despite the tensions across the Sahel region, Chad's security situation has been improving.** Episodes of ethnic strife along the Chad-Libya border are still occasionally reported and developments in Mali and Nigeria point to elevated security threats. However, peace with Sudan holds and the pockets of the 2008 rebellion are reported to have disappeared.
2. **Nonetheless, because of past armed conflicts, the 2011 drought, and the recent floods, many residents are in need of humanitarian assistance.** Hundreds of thousands displaced by armed conflicts in Chad and in the neighboring countries live on a nearly permanent basis within Chad's borders.¹ The 2011 drought exposed over one million people to severe food insecurity. The floods of 2012, the full impact of which is yet to be assessed, affected 700,000 people and damaged a significant share of crops.
3. **Recent political developments were marked by personnel changes among high-level civilian and military ranks and a prolonged strike by public sector employees.** In the first half of 2012, high-profile arrests and dismissals, mainly in response to allegations of corruption, led to the replacement of several cabinet members and senior government officials. In late July, public sector employees went on strike demanding large wage increases (100 percent over three years). So far, the government has resisted these demands. However, protests resumed in late October.

II. RECENT ECONOMIC DEVELOPMENTS

Economic performance in 2011–12 has been marked by coming on stream of several large industrial projects. A severe drought provoked a decline in agricultural production, causing a food security crisis and a sharp increase in inflation in late 2011. Some needed fiscal consolidation was achieved in 2011 but was largely reversed in 2012.

4. **Growth slowed in 2011 and inflation accelerated at year's end, while the balance-of-payments strengthened.** After a strong recovery in 2010, real GDP growth slowed to 1.7 percent in 2011 as oil production resumed its downward trend and agricultural production

¹ According to the UNHCR, there are more than 300,000 refugees from the Darfur province of Sudan and from the CAR and over 100,000 internally displaced persons, including returnees from Libya, living in Chad.

was affected by the drought in the Sahel region. The drought also pushed up the prices of food and the overall consumer price inflation accelerated to about 11 percent (year-on-year) at year's end. Helped by the high international prices of crude oil and the completion of several large, foreign-financed industrial projects, the overall balance of payments posted a surplus.

5. The non-oil primary deficit (NOPD) declined in 2011 and the overall fiscal balance swung from a deficit to a small surplus leaving room for private sector credit expansion.

The NOPD was reduced from 31.2 percent of non-oil GDP in 2010 to 28.1 percent in 2011 as a result of lower security and investment spending. This reduction, although short of the original budget target (18.6 percent of non-oil GDP), was a positive development (Box 1). Helped by soaring oil prices, the overall fiscal balance (commitment basis, excluding grants) shifted from a double-digit deficit in 2010 to a small surplus in 2011. Broad money grew by 12 percent, in parallel with the non-oil nominal GDP. Credit to the economy increased by about 19 percent.

Box 1. Chad: The Implementation of the 2011 Article IV Recommendations

Fiscal policy and sustainability: Staff called for a supplementary budget aiming to contain the non-oil primary deficit to about 26 percent of non-oil GDP in 2011, as a step toward attaining a sustainable fiscal position over the medium term. The authorities adopted a supplementary budget with an NOPD target significantly higher than recommended by staff. Some effort was made to reduce the NOPD relative to the 2010 outturn; however, in 2012, fiscal policy reverted to an expansionary stance.

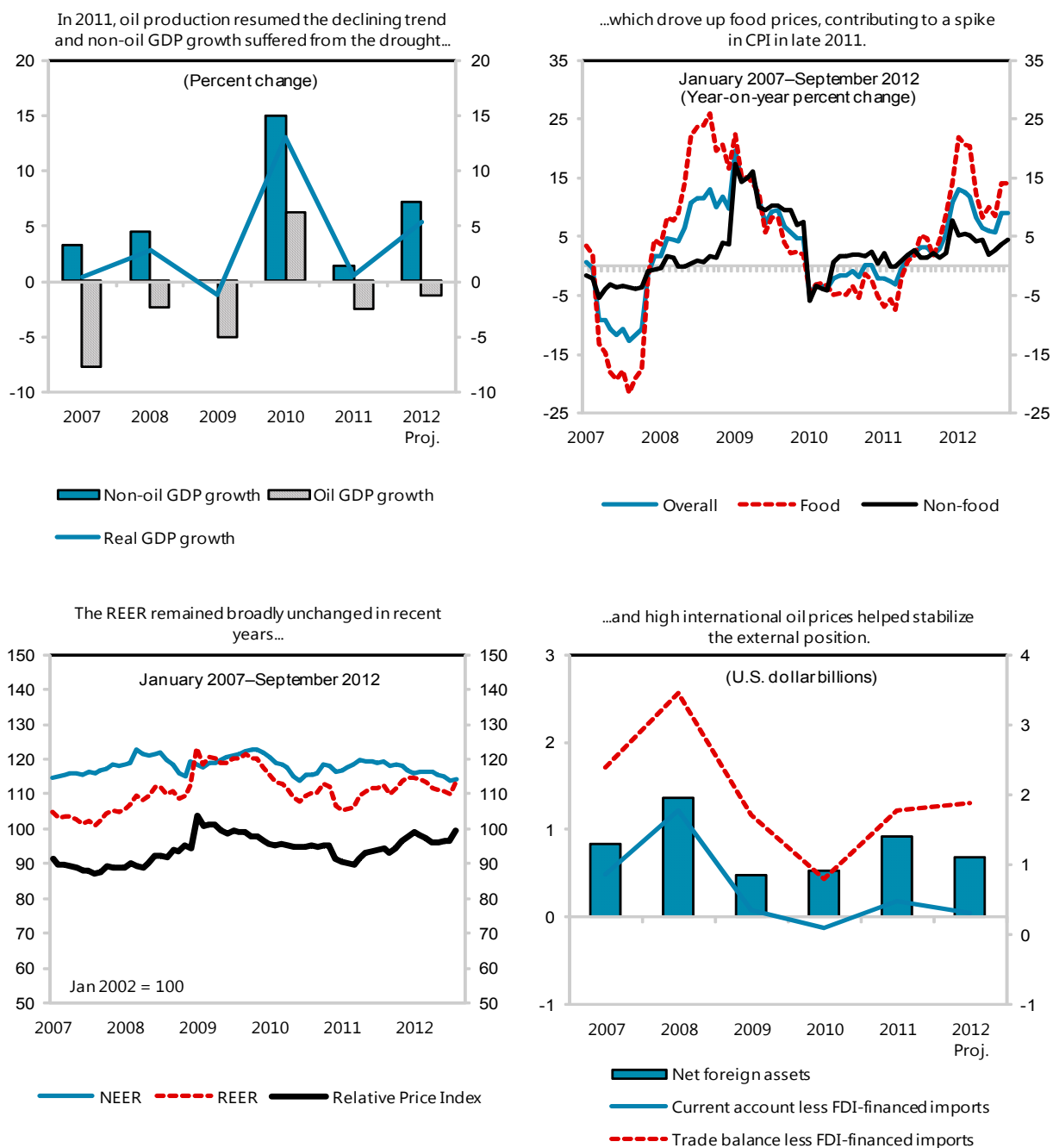
Public financial management (PFM): Priority measures recommended in this area included: (i) restricting the use of emergency spending procedures (DAO); (ii) eliminating payments to government suppliers in excess of budget allocations; and (iii) observing the public procurement code. Staff also recommended focusing PFM reforms on harmonizing local practices with the new Economic and Monetary Community of Central Africa (CEMAC) guidelines. The recourse to DAOs diminished in 2011, but increased again in 2012, leading to a surge in extra-budgetary spending. No significant progress has been made in other areas.

Policy environment for new enterprises: Staff advised the authorities to ensure that the newly created public enterprises and enterprises partly owned by the state (notably, the oil refinery) operate on a commercial basis and are financially viable. The authorities continue to interfere with pricing decisions of these enterprises, leading to losses and increasingly costly subsidies from the budget.

Strengthening financial sector stability and development: The 2011 FSAP proposed measures to ensure financial sector stability (Box 7). The authorities recapitalized two state-owned banks and a third state-owned bank is being restructured. There was no progress on other recommendations related to cash flow and public debt management, access to credit, the legal and judicial framework, and the pension sector.

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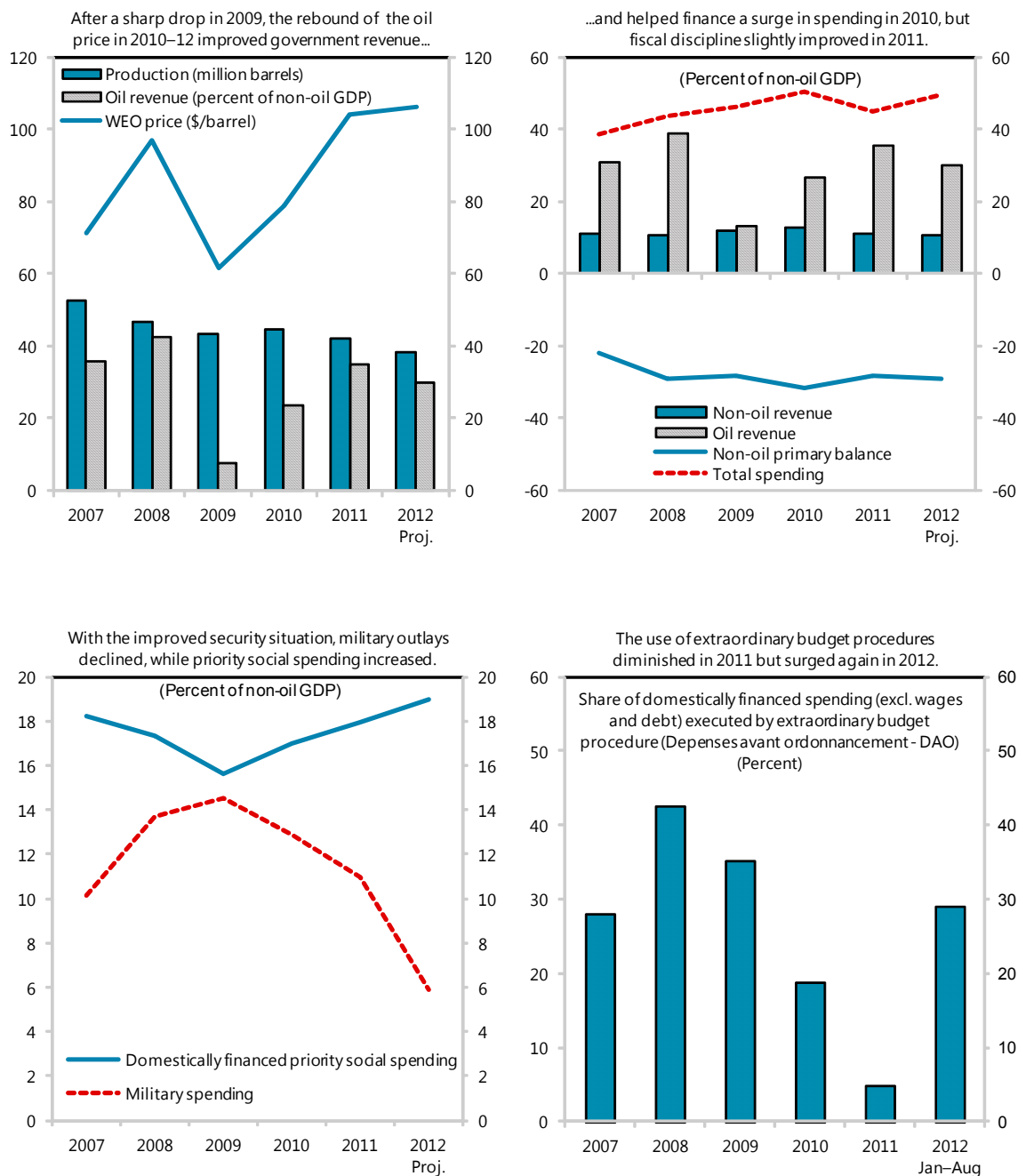
Figure 1. Chad: Recent Economic Developments, 2007–2012¹



¹ Unless otherwise indicated.

Sources: Chadian authorities; and IMF staff estimates.

Figure 2. Chad: Impact of Oil Production on Fiscal Policy and Public Financial Management, 2007–2012¹



¹ Unless otherwise indicated.

Sources: Chadian authorities; and IMF staff estimates.

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6. **In 2012, economic activity is estimated to have rebounded.** Real GDP growth of 5.4 percent is driven by the coming on stream of several industrial projects, including the impact of a full year of operation of the Djermaya oil refinery, which started production in mid-2011, and the opening of the Baoré cement plant. Favorable weather conditions spurred a recovery in agricultural output, which should yield an increase in the main crops, if the effects of the recent floods are contained. Oil production is expected to stabilize following the first full year of production at the oil field operated by the China National Petroleum Corporation (CNPC). Oil production and exports by the Exxon-led consortium are expected to continue their downward trend. As the food crisis receded, inflation started to decline. Food prices are expected to ease in the last quarter, as new crops reach the market, and inflation to drop to about 6 percent at year's end.

Food security

7. **The 2011 drought and the recent floods prompted the authorities to define a national strategy to strengthen the resilience of the Chadian economy to weather shocks.** A new approach, developed in collaboration with international partners (including FAO and WFP), focuses on improving water management, warehouse capacity, and information systems (Box 2).

Box 2. Chad: Food Security and the Path to Resilience

Chad is highly sensitive to food production shocks due to natural disasters. The 2011 drought caused a 50 percent drop in cereal production (to 1.6 million tons), leaving the country in need of 455,000 tons. It also led to the drying up of pastures and drinking-water for livestock. As a result, 2.5 million Chadians became exposed to food insecurity (based on the WFP definition) starting in late 2011 until mid-2012, and 1.2 million, mainly in the Sahel zone, faced severe food insecurity (Annex I). In mid-2012, the weather shifted to the other extreme, with floods covering seven percent of farm-land and affecting 700,000 people in thirteen of Chad's twenty-two regions.

Multiple sources of funding and logistic support were mobilized to alleviate food shortages. In December 2011, the government declared a drought-related emergency and made a call to the international community for aid. The international community donated \$386.2 million in food assistance. (The biggest contributors were the United States and the European Union). The government mobilized CFAF 8.8 billion (\$17.4 million) to distribute food to the regions in need. As of September 2012, the government allocated CFAF 1 billion (\$2.0 million) for flood victims.

Recent weather shocks have prompted the government to broaden its food security efforts from emergency response to strengthening the resilience of the Chadian economy to such shocks. Many projects aiming to build resilience to the extremes in weather are underway to improve irrigation and water management, warehouse capacity and information systems for the government, development partners, and farmers.

Fiscal performance in 2012

8. **The 2012 budget aimed at a significant fiscal consolidation, consistent with the path toward the medium-term sustainability.** The 2012 budget envisaged an NOPD below 20 percent of non-oil GDP, as recommended during the 2011 Article IV consultation. However, the budget lacked sufficient provisions to achieve its objectives. In particular, it underestimated problems with revenue collection (mainly due to the proliferation of arbitrary exemptions and weaknesses in customs administration) and recurrent spending pressures that had led to a significant overrun in 2011. These included a larger-than-budgeted-for energy bill (mainly, fuel subsidies for electricity generation), subsidies for other public enterprises, and spending on security and investment. Contingent provisions, notably, to deal with the food security crisis, also proved insufficient.²

9. **As a result, a large fiscal slippage was registered in the first eight months of 2012.** Non-oil revenue collection through August was three percent lower than the amount registered in January–August 2011. At the same time, the domestically-financed non-interest expenditure (commitment basis) through August was by seven percent higher than in January–August 2011, including nearly six percent of non-oil GDP in extra-budgetary spending, mainly on investment and purchases of goods and services. This performance was not consistent with the intended fiscal consolidation and signaled that the annual budget NOPD target was beyond reach.

10. **The more relaxed fiscal stance was confirmed in a 2012 supplementary budget, adopted in October.** The revised NOPD target is 28.1 percent of non-oil GDP (compared with 19.7 percent in the original 2012 budget). The overall deficit could reach 8 percent of non-oil GDP (compared with a small surplus in 2011). Supplementary budget appropriations cover mostly subsidies for the electricity company and other public enterprises, security spending, and large unidentified “centralized expenditure”, to be financed by drawing down deposits at the BEAC.

11. **Even the revised NOPD target is subject to risks.** The supplementary budget may underestimate (by about 1 percent of non-oil GDP) a likely non-oil revenue shortfall. Additional

² During the discussions on a possible staff-monitored program in April 2012, it was estimated that, to accommodate these budgetary pressures, the NOPD would need to be relaxed to at least 23 percent of non-oil GDP (Box 3).

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spending may arise from wage pressures and subsidies to state-owned enterprises. Absent a major adjustment in the final quarter of the year, the NOPD could exceed 29 percent of non-oil GDP.

Box 3. Chad: 2012 Discussions on a Staff-Monitored Program

The authorities initiated discussions on a staff-monitored program to lay down a track record for an ECF program in 2013.¹ These discussions proved inconclusive as the authorities decided to implement the Master Facility Agreement (MFA) signed with the Eximbank of China in August 2011 (see below).

Improved fiscal performance in 2011 created the basis for discussions on a staff-monitored program (SMP), which were held at the margins of the 2012 Spring Meetings. The proposed SMP (covering April–December 2012) aimed at an NOPD target of 23 percent of non-oil GDP in 2012. It included several measures to improve PFM: (i) reconciliation of the net government position vis-à-vis the banking system prepared by the public treasury with the position calculated by the BEAC; (ii) preparation of the monthly treasury cash-flow plan; (iii) provision of data on all contracts related to external investment projects; and (iv) compilation and centralization of data on public external and domestic debt.

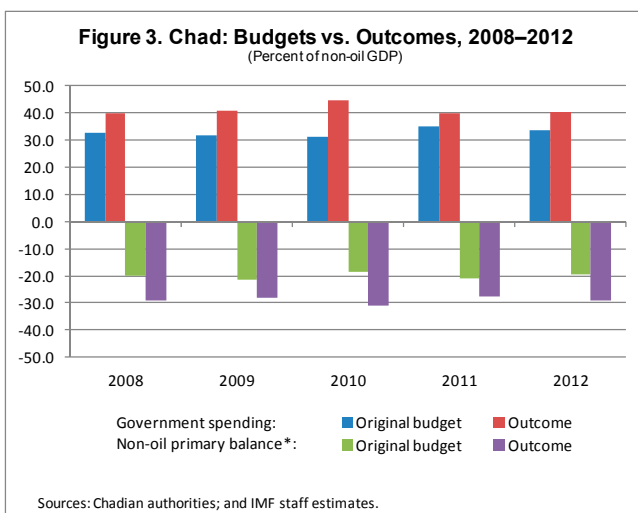
Discussions on an SMP could not make progress. The MFA with the Eximbank of China is not compatible with standard IMF program requirements and, more broadly, with the HIPC Initiative objectives. The MFA (\$2 billion, or 18 percent of the 2012 GDP) is problematic for several reasons: (i) the borrowing terms fall short of the standard concessionality requirement; (ii) collateralization of payment obligations subordinates other creditors, violates the existing negative pledge clauses (e.g., in the World Bank debt instruments), and contravenes the reserve surrender requirements under the BEAC law; and (iii) the disbursement of the MFA, especially over a short period, would nearly double the external debt of Chad and significantly raise the risk of debt distress, making it incompatible with debt sustainability objectives. The non-concessionality of the MFA and its impact on debt sustainability are also seen by other creditors (e.g., the Paris Club and the African Development Bank) as an obstacle to Chad's achieving debt relief under the HIPC Initiative. Despite these concerns, the authorities informed staff in late June that all conditions for the MFA to become effective had been met and that they intended to implement the MFA. This position was confirmed during the Article IV mission in September.

¹ Given the track record previously accrued by Chad under the PRGF, after reaching the decision point in May 2001, at least six months of satisfactory performance under an ECF would be required to reach the HIPC completion point, provided that all the other HIPC triggers are met, which was the case several years ago; however, a recent assessment indicates that there was some back-tracking on several triggers, notably in the area of health—the implementation status of the HIPC is currently being reviewed by the World Bank staff. Also, a full year of a successful implementation of a poverty reduction strategy (PRS) would be required; the new PRS is under preparation.

III. PUBLIC FINANCIAL MANAGEMENT

Budget overruns were induced by weak treasury management and the repeated use of emergency spending procedures. PFM reforms stalled. Subsidies to public enterprises surged, and the policy framework for public enterprises remains a challenge.

12. Inadequate preparation of the budget and its bypassing with the frequent use of emergency procedures were the primary causes of fiscal slippages. The authorities repeatedly



resorted to the procedures allowing spending without prior budget authorization (*dépenses avant ordonnancement*–DAOs). In January–August, 2012, DAOs reached CFAF 185 billion (compared with CFAF 128 billion for the 2011 full year), equivalent to nearly 30 percent of all domestically financed spending (excluding wages and debt service). Investment and spending on goods and services accounted for the bulk of the DAOs.

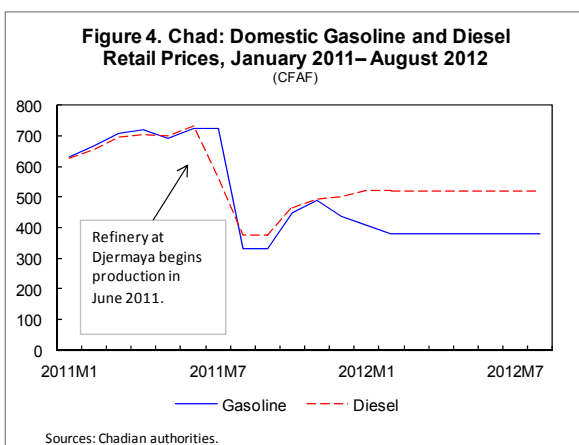
13. PFM reforms stalled. The authorities started streamlining the treasury operations by closing nonessential government accounts and broadening the reach of the treasury single account. However, in June 2012, an in-depth review of treasury reforms showed that most of the intended measures had not been implemented. As a result, the introduction of the treasury cash flow plan was postponed until 2013. Also, the authorities backtracked on their intentions to improve the procurement system, which largely relies on non-competitive bids. Finally, no progress was made on budget transparency; the authorities have yet to submit to parliament the report on past budget execution (*Loi de règlement*), delayed now for many years.

Subsidization policy toward public enterprises

14. Subsidies to public enterprises are widespread, have increased markedly in 2012, and represent a major drain on the budget. Preliminary estimates suggest that subsidies for public enterprises rose from 3.4 percent of non-oil GDP (8.8 percent of domestic non-wage primary spending) in 2011 to 4.8 percent of non-oil GDP (12.1 percent of domestic non-wage primary spending) in 2012. In addition to the traditional recipients of subsidies, such as the electricity and water companies and the cotton parastatal, the list of subsidized enterprises now includes new companies, such as the cement plant, the oil refinery, the tractor assembly plant, and the fruit juice company. All these companies sell their products and services at prices significantly below cost recovery levels.

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15. The petroleum pricing policy remains a challenge for Chad's industrialization strategy and a source of vulnerability for the budget.



ex-refinery prices were fixed at well below the cost recovery level, and the retail prices of the petroleum products were reduced by about 50 percent. This policy has since evolved, allowing the refinery to close the price-cost gap, especially with respect to diesel fuel (the most widely consumed petroleum product in Chad). Nevertheless, subsidization of gasoline continues, and is encouraging smuggling (e.g., at the pump,

gasoline is 30 percent cheaper in Chad than in Cameroon and 50 percent cheaper than in the Central African Republic). IMF technical assistance recommended, among other things, finding an export outlet for the refinery excess production and allowing it to increase its capacity use (current level is about 20 percent) (Box 4).

Box 4. Chad: The Djermaya Oil Refinery—Issues in Petroleum Taxation and Pricing

An FAD technical assistance mission visited Chad in May 2012 to assess petroleum sector revenue management and to provide FARI model-based cash flow projections for the oil refinery. The refinery started production in June 2011 with a processing capacity of 1 million tons per year. It is owned by the *Société de Raffinage de N'Djaména* (SRN) SA, a joint-venture company between CNPC (60 percent) and the Chad government (40 percent) via the state-owned oil company (SNH). The main findings were as follows:

- **Economic viability of the refinery.** Despite its relatively small size, the refinery is economically viable. This is due in part to high international oil prices but also to the fact that Chad is a landlocked country and importing fuel is very expensive. Under the current outlook, the integrated (oil production and refining) operation has the potential to generate revenues for the government and profits for the private operator.
- **The importance of finding export markets.** The sustainability of this operation depends heavily on exporting a significant share of the production to neighboring markets (Nigeria, Cameroon and the CAR).
- **Scope for limited retail price subsidies.** The scope for selling refined products on the domestic market at a discount, relative to the international prices, and still generating profits for the private operator as well as revenue for the government also depends crucially on exporting a significant share of the refinery's production.

16. Agriculture is also a large recipient of subsidies.

These include price subsidies for fertilizers, direct support for microfinance, and for the mechanization of agriculture (with the use of the locally assembled tractors). Moreover, transformation enterprises (e.g., in textiles and fruit processing) are also receiving subsidies.

Authorities' views

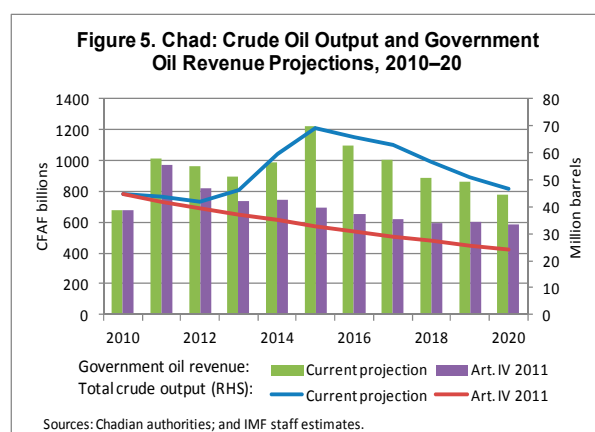
17. **The authorities recognize that PFM problems affect budget execution.** They see the need to improve budget preparation, to strengthen its credibility, and to eliminate repeated extra-budgetary spending. PFM reforms are viewed as important but lack of technical capacity is impeding their implementation.

18. **The authorities acknowledge that continued subsidization of public enterprises is problematic.** Adjustments to retail prices of cement and petroleum products are being considered. The authorities also agree that finding an export outlet for the excess production of the refinery would help improve its financial performance. In view of the exceptionally high electricity tariffs in Chad, they consider important to maintain, or even increase, electricity subsidies. They expect planned investments in power generation and distribution to improve the financial situation of the energy sector. The authorities intend to re-focus the support for agriculture in the context of the strategy to increase resilience of the Chadian economy to weather shocks.

IV. MEDIUM-TERM OUTLOOK

The expected significant increase in oil production in the next few years relaxes somewhat the sustainability constraints. However, building a savings buffer to mitigate the impact of oil price volatility and to smooth government spending remains important.

19. **Prospects of new oil production coming on stream are central to the medium term outlook.** Based on information from CNPC, Exxon, and Griffiths (a small Canadian operator), oil



production is expected to increase from 120,000 bpd in 2011 to a peak of nearly 190,000 bpd in 2015; however, absent significant new oil developments, oil production would start diminishing already in 2016. Staff estimates that government revenues from oil will rise to about 30 percent of non-oil GDP in 2015 and will fall gradually to about 20 percent of non-oil GDP by 2017, owing to the projected drop in international

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oil prices and the expected reversion of oil production to a downward trend.³

20. **Public investments in infrastructures and an increase in cotton production are key drivers for non-oil growth over the medium-term.** The recent restructuring of Cotontchad is expected to lead to a recovery in cotton output to its historical levels, and to an increase in non-oil exports. However, the rehabilitation of the cotton industry is unlikely to compensate for the trend decline in oil production. Other non-oil exports must be developed to ensure external sustainability (Box 5).

21. **Prospects for additional oil revenue offer a considerably larger fiscal space over the medium term.** With the new developments coming on stream and higher international oil prices, oil revenue over the medium term (2013–17) is now projected to be \$5 billion higher than projected last year, of which \$4 billion is expected to come from new oil developments. This suggests that the desirable medium-term NOPD path could be somewhat more relaxed than recommended in the 2011 Article IV consultation.

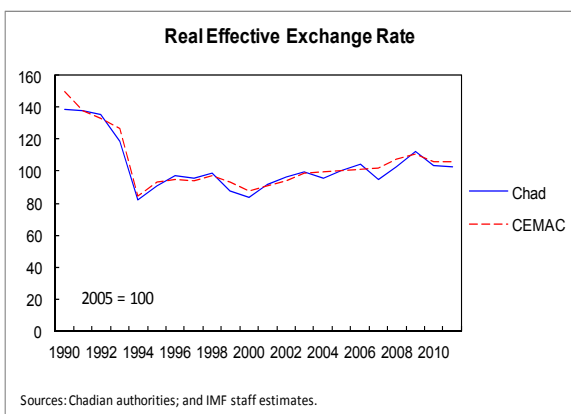
22. **Despite this improved outlook, Chad continues to be vulnerable to volatile oil revenues.** Oil accounts for more than 70 percent of fiscal revenues, about 90 percent of total exports of goods, and 35 percent of GDP. Government revenue from oil (including corporate income tax) is more volatile than oil prices and export receipts. Most notably, a 50 percent drop in international oil prices in 2009 entailed a nearly 75 percent drop in government oil revenues. A significant drop in oil prices may also stifle the development of new oil projects and lead to a production cutback by the incumbent producers, presenting the authorities with the need for a sharp fiscal adjustment. Oil production and revenue transfers are also subject to uncertainty.⁴

³ These estimates are preliminary and should be verified and confirmed by an in-depth analysis of the production and cost recovery profile of these new oil fields.

⁴ The revenue uncertainty is partly related to moving in early 2012 from collecting oil royalties in cash toward collecting them in kind and to contracts with new oil producers being of different type (the contract with Griffiths is based on production sharing, while contracts with the Exxon-led consortium and the CNPC are of tax/royalty kind).

Box 5. Chad: Exchange Rate and External Competitiveness Assessment

Chad's external competitiveness is heavily influenced by a number of exogenous factors, including oil prices and the euro/US dollar exchange rate. Competitiveness is also affected by a narrow domestic non-oil production base, significant natural barriers to trade, and weak institutions.



In recent years, Chad's real effective exchange rate (REER) has been tracking closely the CEMAC's gradually appreciating REER, with minor deviations reflecting mainly fluctuations in Chad's inflation path compared to the region's average. Thus, staff's assessment of CEMAC's external sustainability and non-oil REER also applies to Chad, suggesting that, under current policies, Chad's REER is broadly in line with fundamentals (SM/12/122).

This is confirmed by applying various CGER methodologies for Chad, placing its non-oil REER at 1-5 percentage points above the norm.¹ Using the modified methodology, based on Bems/de Carvalho Filho (2009), Chad's non-oil REER is overvalued by about

4–5 percent, slightly below the REER in the CEMAC area as a whole. The test relies on a current account norm derived from the assumption that oil wealth is used for smoothing intertemporal consumption. Both norms disregard investment expenditure, which accentuates estimated overvaluation if the medium-term current account is heavily influenced by public investment (as is the case in Chad), even if the investment is sound.

Chad's strong oil-export driven external position projected over the medium term may result in further appreciation of its REER. Given the diminishing oil resource base in the long term, a prolonged continuation of this trend would be harmful to Chad's competitiveness. Chad's fragile domestic production base, including for the traditional export products, and high capital and productivity-adjusted labor costs in other sectors, suggest that a real depreciation would help diversify its export production. However, given Chad's membership in the currency union, competitiveness should be enhanced mainly through measures to improve the business environment and appropriate aggregate demand management (notably, fiscal policy).

¹ For the methodological underpinning, refer to Lee et al. (2008), *Exchange Rate Assessments: CGER Methodologies*, IMF Occasional Paper 261; and Bems and de Carvalho Filho (2009), *Exchange Rate Assessments: Methodologies for Oil Exporting Countries*, IMF Working Paper No. 09/281.

23. Mitigating the risks of a sudden drop in oil revenues remains central to a prudent medium-term fiscal strategy (Annex II). The recommended strategy aims at (i) smoothing expenditure over the medium term; (ii) saving part of the oil revenue to create a financial buffer of at least 15 percent of non-oil GDP by 2017 (from a very low level at end-2012, given the expected draw-down of deposits implied by the execution of the revised 2012 budget); (iii) implementing tax reforms and other measures to improve the business environment and help diversify revenue sources away from oil; and (iv) keeping the investment program and subsidies manageable, given absorptive capacity and fiscal sustainability constraints, and the need to ensure sufficient resources for social spending programs. To achieve these objectives, the recommended adjustment over the

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medium term would be anchored on a reduction of the NOPD to 14–15 percent of non-oil GDP by 2017. This adjustment is critical to achieving sustainability as it would ensure that, over time, the authorities would have at their disposal a cushion sufficient to absorb the impact of a negative oil price shock similar to that experienced in 2009 for at least one year (i.e., sufficient time to adjust if the shock proves durable). The proposed adjustment would also help reduce the public debt-to-GDP ratio from about 36 percent at end-2011 to about 32 percent by 2017. To this effect, it is also assumed that the disbursement of the external project loans over the medium term is paced to ensure long-term debt sustainability.⁵

24. **The recommended medium-term adjustment is feasible, and remains consistent with the intermediate financing constraints.** Since new oil developments are not expected to yield a large increase in government revenue until 2015, the budget will be subject to a relatively tight financing constraint in 2013–14, calling for a stepwise tightening of the NOPD by 3–4 percentage points of non-oil GDP per year (starting with a reduction of the NOPD to 25 percent of non-oil GDP in 2013).⁶ This adjustment could be achieved by (i) implementing measures to increase non-oil revenue, including the elimination of the arbitrary tax and customs duty exemptions, measures to improve revenue administration, and incentives for private companies to leave the informal sector; and (ii) a reduction in subsidies and grants (mainly in subsidies for public enterprises and exceptional security transfers) and in the domestically-financed investment spending (to be largely offset by the additional foreign-financed investment spending under the MFA).

Authorities' views

25. **The authorities count on the additional oil revenues to provide financing for investment in infrastructure and creation of new enterprises, in particular, in the energy**

⁵ The staff medium-term framework represents a normative (prudent) scenario and is also presented in the DSA under an alternative scenario to determine conditions under which the MFA could be consistent with debt sustainability. The DSA baseline scenario assumes that the MFA remains non-concessional and is disbursed over a shorter period (five years), reflecting staff's best understanding of the authorities' policy intentions. In addition, the authorities' policy intentions would entail somewhat higher growth over the medium term.

⁶ In November, the authorities submitted to parliament a project of the 2013 budget with an NOPD target of 25 percent of non-oil GDP. However, this target is predicated on a significant increase in non-oil revenue.

sector. They emphasize the upside potential of the new oil developments and are of the view that fiscal consolidation over the medium term would not be necessary. They also are not convinced of the need to build a savings cushion. They appreciated Fund's assistance in developing capacity for oil revenue projections and expressed interest in further cooperation with Fund staff in this area.

V. DEBT SUSTAINABILITY

Additional oil revenues are expected to strengthen Chad's debt servicing capacity and to allow for more external borrowing (e.g., to finance public investment); however, the updated debt sustainability analysis (DSA) shows that the \$2 billion MFA exceeds the available space for new borrowing and, if implemented on current terms, entails a high risk of debt distress.

26. **Overall public debt has been increasing rapidly in recent years.** The public debt-to-GDP ratio increased from just over 30 percent at end-2010 to about 36 percent at end-2011. This was mainly due to a rapid increase in domestic public debt and non-concessional government-guaranteed external debt to finance government stakes in new enterprises (e.g., the Djermaya oil refinery and the Baoré cement plant). Public external debt is projected to increase over the medium term, reflecting the expected disbursement under the MFA to finance the construction of a new airport for N'Djamena and several other projects in transport infrastructure and in the energy sector. The borrowing terms under the MFA are commercial and its repayment secured through the collateralization of oil export receipts.⁷

27. **Implementing the MFA in its current form is inconsistent with debt sustainability objectives.** The updated DSA shows that the MFA entails a high risk of debt distress. This conclusion holds even if the growth impact of the associated projects is taken into account and the fiscal position is assumed to be adjusted to establish collateral required under the MFA. An alternative scenario shows that all sustainability thresholds would be observed if the implementation of the MFA was phased in over ten years and the terms of the MFA and of the subsequent borrowing were sufficiently concessional. Nevertheless, even in that case, Chad would continue to face a moderate risk of debt distress, due to the low level of non-oil tax revenue and exports and its exposure to oil

⁷ The financial terms of the MFA include an interest rate of 1.5 percent and a risk fee of 4.0 percent (on top of the interest rate). The tenor of each loan is not to exceed 20 years, including the grace period of five years. Overall, the implied grant element is 1.8 percent. For detailed description of the MFA, see *Staff Report for the 2012 Article IV Consultation—Debt Sustainability Analysis*, ¶13.

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price volatility. The DSA also shows that, absent further large oil discoveries, the ambitious investment plans based on foreign borrowing over and above the 2011 MFA—such as the construction of a trans-Chadian railway—would not be consistent with debt sustainability.

Authorities' views

28. **The authorities downplay the debt sustainability concerns arising from the MFA.** They consider that new oil developments will generate a cash flow sufficient to meet debt obligations under the MFA, which are secured by oil export receipts. They also point out that if the DSA were conducted with the use of the revised national accounts, the PV of debt-to-GDP ratios would be lower, indicating a higher space for additional borrowing than implied by staff projections.⁸ The authorities also believe that the contemplated investments will have significant positive economic externalities and a higher impact on non-oil growth.

VI. BUSINESS CLIMATE

Poor business climate continues to constrain private sector development in Chad. The shared awareness of the problem between the local business community and the authorities is promising but the task ahead appears daunting.

29. **Chad's business climate is widely perceived as unfavorable to the development of the private sector.** The IFC ranks Chad 184th among 185 countries classified in its *Doing Business 2013* report, with particularly low marks for starting a business, resolving insolvency, and paying taxes. Transparency International's 2011 Corruption Perception Index ranks Chad 168th out of a total of 183 countries. The 2011 Mo Ibrahim index, which summarizes the assessment of governance performance in 53 African countries, puts Chad at the 52nd place.

30. **Most private enterprises in Chad operate informally, except a handful of multinationals linked mainly to the oil sector.** Local private sector includes small and medium-sized enterprises, operating at the fringes of the economy, as well as large enterprises,

⁸ The authorities have produced new estimates for 2005–11 consistent with the 1993 System of National Accounts, with actual data for 2005 and 2006, based on the 2005 input-output structure of the economy. The new GDP estimates are 15–20 percent higher than the presently used figures (1995 basis), primarily due to a large increase in the tertiary sector, reflecting broader coverage of activities and inclusion of estimates for the informal sector. Staff encouraged the publication of the new national accounts by the National Institute of Statistics (INSEED). Staff plans to adopt the new GDP estimates once they are put in use by the ministry of finance and the central bank.

particularly in commerce or construction, many of them living off public contracts, but eluding taxation. Formal private companies operate in a few niches of the economy, including telecoms, sugar refining, or tobacco processing.

31. Since 2011, several initiatives have been undertaken to improve the business climate.

The National Council of Employers of Chad (CNPT) has published a White Book, which identifies the key obstacles to private sector development. These are: (i) lack of confidence in the rule of law; (ii) inefficiency and unfairness in the application of the fiscal regime; and (iii) structural weaknesses, including shortages and the high cost of energy, underdevelopment of finance and telecommunications, and scarcity of qualified labor. The White Book also proposes a detailed reform program for the improvement of the business climate (Box 6). Some efforts in this regard were already made by the National Investment and Export Agency (ANIE), including the opening of a “one-stop window” to facilitate the creation of new enterprises.

Box 6. Chad: The White Book of the CNPT—Selected Suggestions

The White Book of the CNPT takes stock of the measures that would help private sector develop its potential.
These include:

Legal environment:

- Ensure business security (legal and judicial) which is a prerequisite to investment
- Adopt more precise laws against abusive attribution of damages
- Engage in arbitration before any legal proceedings under the OHADA system
- Provide training for judges on the CIMA (Inter African Conference for the Insurance Market) Code
- Adopt an anti-corruption law

Tax and customs:

- Update the current General Tax Code by integrating different finance acts
- Develop a Fiscal Procedural Code and a Taxpayer Code
- Establish a regular publishing of fiscal laws and as well as tax and customs schedules
- Strengthen the rigor in revenue collection to reduce undue solicitation
- Professionalize customs services and eliminate the pseudo-official customs brigades
- Reduce the minimum presumptive tax and broaden its crediting beyond the corporate income tax
- Create tax incentives to make staying in the informal sector unattractive

Travel, logistics, and telecommunication:

- Lower taxes on airplane tickets to 5 percent from the current average of 40 percent
- Improve access to other sea ports (Cotonou, Port Sudan, etc.) to create competition for Douala
- Enable the use of the fiber optic connection by all licensed telecom operators
- Foster the use of 3G technology to allow easy access to high-speed internet
- Foster training in telecom and information and communication technologies (ICT)

Human capital:

- Create an engineering school in electromechanical engineering, petroleum, and mining
- Ensure adequate social infrastructure for a skilled and healthy workforce to reduce labor costs

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Authorities' views

32. **The authorities have a more positive view of the business climate.** They note that insufficient information on Chad and the opportunities it offers is a factor in its unfavorable scores and a deterrent to private investment. To bridge this information gap, the ANIE has been asked to increase media outreach and other promotion activities. Following the endorsement of the CNPT's White Book at the highest political level, the authorities intend to consult further with the private sector with a view to coining a consensus on a reform agenda.

VII. FINANCIAL SECTOR

Financial sector conditions have improved since the 2011 FSAP, owing to the recapitalization of state-owned banks, strong growth of several private banks, and technological innovations, including mobile banking and the increased use of other modern means of payments. Nevertheless, private sector access to financial services remains difficult, and the large exposure of the banking system to the government represents a major risk.

33. **The health of the financial sector has improved with the recapitalization of the state-owned banks.**⁹ As a result, the ratio of regulatory capital to risk-weighted assets increased from 6.7 percent to 19.7 percent. In addition, most banks in need of rehabilitation have developed actions plans required by COBAC and fully endorsed by the 2011 FSAP; however, most other FSAP recommendations, related, among others, to cash flow and public debt management, the legal and judicial framework, and pension sector, have not been implemented (Box 7).

34. **Despite the strong growth of deposits in private banks (including two transnational sub-Saharan African banks), financial intermediation remains low.** At end-2011, the ratios of broad money and private sector credit to non-oil GDP were about 23.5 percent and just above 10 percent of non-oil GDP, respectively.¹⁰ Also, other indicators show a very low level of financial intermediation: fewer than 25 depositors per 1000 adults (compared to 200 for SSA), fewer than 3 borrowers per 1000 adults (compared to 50 for SSA), and less than 1 bank branch per 1000km²

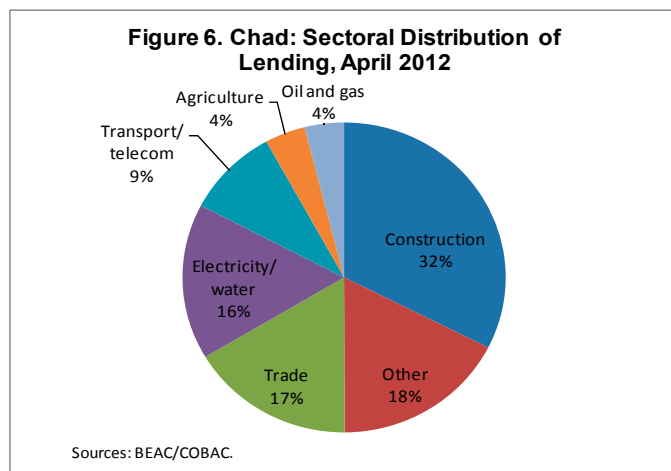
⁹ The cost of bank recapitalization to the budget was about ¼ percent of non-oil GDP.

¹⁰ Private deposits accounted for about a half of broad money. All bank deposits (including government deposits) were below 15 percent of non-oil GDP, in either case, significantly below the average for sub-Saharan Africa.

Box 7. Chad: Main Findings and Recommendations of the 2011 FSAP	
Recommendations:	Follow-up:
Banking sector stability. Finding: two banks have a negative equity. Recommendation: the government should recapitalize the banks and prepare a viable business plan. <i>Priority/Timeframe:</i> High/Immediate.	Two of the three state banks have been recapitalized with public and foreign capital, and action plans for development of their bank activities have been prepared. The third state bank is being restructured with the state selling the majority of its share to the future acquiring foreign investor.
Cash flow and public debt management. Finding: Poor government cash flows management leads to financial vulnerabilities. Recommendation: the government should establish, under the leadership of the Ministry of Finance, with active participation of the BEAC and line ministries, a treasury committee to monitor the government's cash position. <i>Priority/Timeframe:</i> High/Immediate.	A committee, created to monitor the net government position (NPG) vis-à-vis the banking system, recommended to include 45 additional accounts to the NPG. It confirmed closure of 201 government accounts that were inactive, while 7 others were closed and their balances transferred to the Treasury account. The treasury cash flow plan has not yet been elaborated and cash management remains limited to the daily assessment of the availability of funds.
Access to financial services. Finding: Access to services is constrained by the lack of adequate information on borrowers. Recommendation: The BEAC should develop an adequate credit reporting system and the government should encourage the use of the accounting system by businesses. <i>Priority/Timeframe:</i> High/Medium term.	The BEAC is actively trying to reduce delays in updating financial information on borrowers in the credit registry and is encouraging banks to accelerate their reporting of data at the BEAC. More needs to be done to encourage the use of the accounting system by businesses.
Legal and judicial framework. Finding: The business community has no confidence in the judicial system. Recommendation: The government should establish a credible inspector's general office to investigate and prosecute the corruption in the justice system and introduce arbitration and mediation for dispute settlement outside courts. <i>Priority/Timeframe:</i> High/Near term.	Application of banking regulation and commercial laws is hampered by a lack of capacity and limited expertise of officials in resolving commercial disputes. Thus, the government still needs to establish a credible inspector's general office, favoring impartiality, independence, and effectiveness in the legal and judicial system. Banks are often condemned unfairly and abusively, which in some cases results in confiscation of their accounts at the BEAC. A law limiting such abusive practices is being developed.
Pension sector. Findings: The National Retirement Fund (<i>Caisse Nationale des Retraites du Tchad</i> or CNRT) has been technically bankrupt for 20 years. The national Social Security Fund (<i>Caisse Nationale de Sécurité Sociale</i> or CNPS) has an overall surplus that could be used to increase the purchasing power of pensioners and maintain the financial viability of the pension system. Recommendation: The government should repay its debts to both funds and remain current on its future obligations (Ministry of Finance). An actuarial study should be conducted to help establish the long-term financial viability of the system (Ministry of Labor). <i>Priority/Timeframe:</i> High/Near term.	The government has not yet paid its debts to the two funds, and an actuarial study to establish the long-term financial viability of the system has not yet been undertaken.

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35. **Credit is expensive and resources for long-term financing are scarce, while banks' exposure to the public sector remains a major risk.** The government and some large enterprises (mostly foreign-owned) receive credit at 7–8 percent (barely positive in real terms), while small



private entrepreneurs and individuals face much higher interest rates (12–14 percent and 15–20 percent, respectively). Demand deposits account for 85 percent of all deposits, which makes it more difficult for banks to lend long-term. Most lending is in the form of short-term loans (60 percent of bank assets have a maturity of less than a month and 70 percent less than a year). Distribution of bank lending among various economic activities is skewed toward

construction and the energy sector (both mostly funded from public sources or heavily dependent on government subsidies) and commerce. The oil and gas sector, which contributes the largest share of GDP, accounts for only 4 percent of bank credit, as international oil companies rely on offshore sources of funding. The concentration of bank lending on government and its suppliers, which was identified by the 2011 FSAP as a key risk, continues to expose the banking system.¹¹

36. **Inadequate infrastructure (electricity and telecommunication) and legal system are key impediments to financial deepening.**¹² The development of mobile banking should help increase access to financial services. However, banks continue to be reluctant to offer credit, even against legally recognized collateral, because of difficulties in exercising legal guarantees. In this regard, Chadian bankers emphasize the importance of (i) strengthening the legal and judicial framework, to ensure fair treatment of lenders in legal disputes; and (ii) improving the land tenure system and developing a reliable cadastre, to increase the collateral pool. Finally, the development of the

¹¹ The 2011 FSAP determined that (as of March 2011) about 70–80 percent of gross loans were extended to the public sector, with the government being, directly or indirectly (through government suppliers, contract holders, or public servants), the only significant banking client. Based on the information provided by individual banks during the recent Article IV mission, it appears that this exposure has not changed significantly. The stress test performed by the 2011 FSAP revealed that public debt service distress would have major consequences for bank capitalization.

¹² Some progress has been made in the development of telecommunications infrastructure with the placement of the international fiber optic connection. Its extension would enable banks to reach the population outside N'Djamena.

Islamic banking, so far non-existent in Chad, is seen as a way to increase financial intermediation by tapping the savings of Chad's large Muslim population.

Authorities' views

37. **The authorities are satisfied with the steps taken to improve the condition of state-owned banks and do not see the large banks' exposure to the government as a problem.**

Instead, they see the government as a reliable client of the banking system and as a major source of liquidity and income for banks. However, they acknowledge that more could have been done to shore up the finances of the pension system, to strengthen the credit registry, and to improve the legal and judicial framework.

38. **The authorities emphasized that several initiatives are under way to deepen financial intermediation.** A strategy for improving access of small and medium-sized enterprises to credit and lowering their borrowing cost is being validated by the government. A new approach is being developed to ensure reimbursement of loans to microfinance institutions, while limiting the involvement of the government funds. The authorities also intend to give a new role to the state-owned development bank by turning it into a mortgage bank.

VIII. STAFF APPRAISAL

39. **The improved security situation, strong oil revenue receipts, and prospects for additional oil production coming on stream over the next few years create a unique opportunity for Chad to address its development and poverty reduction needs.** To capitalize on these favorable circumstances, Chad needs a medium-term strategy for transforming the oil windfall into a source of sustainable growth for the non-oil economy, putting in place a market-oriented policy framework for the new enterprises, and introducing public financial management reforms to optimize the use of additional oil resources.

40. **Chad's vulnerability to weather shocks came to the fore in the context of the 2011 drought and recent floods.** Staff welcomes the broadening of the policy focus from the emergency response toward building resilience. To this effect, the cost of implementing the contemplated policies to address food security should be properly evaluated and provided for in the budget, including sufficient appropriations for the replenishment of buffer stocks and the implementation of a multi-pronged strategy to strengthen Chad's resilience to weather shocks.

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41. **The relatively good fiscal performance registered in 2011 helped steer the economy toward medium-term sustainability; however, weaker fiscal discipline in 2012 reignited concerns about the course of fiscal policy.** The 2012 supplementary budget deviates from a sustainable path. The envisaged expansion of the deficit also entails a draw-down of the deposits at the BEAC and thus delays the realization of financial savings to protect Chad against the risk of a downward shift in international oil prices.
42. **The authorities should uphold the central role of the budget as a fiscal policy instrument and press ahead with PFM reforms.** Currently, the budget does not accurately reflect the government's economic policies and the continued recourse to extra-budgetary spending undermines the implementation of stated budget objectives. The lack of progress on PFM reforms entails unnecessary costs. To remedy these shortcomings, the authorities should follow through on the implementation of their PFM reform agenda. These reforms should be accompanied by the strengthening of institutional, technical, and human capacities of the Ministry of Finance and Budget (MFB) and the harmonization of local practices with the new directives of the CEMAC.¹³
43. **The early experience with the new public enterprises underscores the importance of putting in place an appropriate market-oriented policy framework for these companies.** The authorities' intention to reduce subsidies for public enterprises is welcome. However, to ensure that these enterprises contribute to the development of a modern industrial fabric in Chad, they should have a degree of freedom in price setting consistent with cost recovery. And, a regulatory framework for healthy competition should be established in the sectors susceptible to monopolistic practices. For the oil refinery, it remains crucial to find an export outlet for its excess production to increase its capacity utilization and improve its financial condition.
44. **Public (domestic and external) debt level remains manageable for the time being, but the authorities' intention to scale up foreign debt-financed public investment entails an elevated risk of debt distress.** The authorities are encouraged to calibrate their public investment policy, taking into account Chad's debt service capacity and its high vulnerability to oil price shocks. Being a low income country, Chad should seek highly concessional terms for its external loans. The

¹³ CEMAC members are expected to complete the transposition at the national level of the new CEMAC directives of public financial management by December 31, 2013.

authorities are encouraged to seek to resolve the incompatibility between the MFA and debt sustainability objectives.

45. **The 2013 budget should be anchored on the objective of medium-term fiscal sustainability, taking into account the need to build a precautionary savings cushion.** Given the firm expectation of a significant increase in oil revenue from the new oil projects coming on stream in the near term, staff currently recommends an NOPD path that is less constraining compared with the path in the 2011 Article IV consultation. Nevertheless, starting with 2013 and over the medium term, a gradual tightening of the NOPD would be required to offset the expected decline in oil revenues over the long term. This gradual tightening would generate savings, primarily, to serve as a cushion against an oil revenue shock, but also to help smooth the transition to the post-oil era.

46. **The publication of the White Book by the CNPT is an important step toward improving Chad's business climate.** The authorities are encouraged to work closely with the business community to further the agenda outlined in the White Book, in particular by improving the legal environment for private enterprises, making tax policy more business-friendly, professionalizing tax and customs administration, and developing the key elements of infrastructure.

47. **The recapitalization of state-owned banks improved financial stability indicators but the concentrated exposure of banks to the public sector remains a source of risk.** In the short term, to mitigate this risk, banks are encouraged to continue holding capital buffers in excess of the required minimum 8 percent. Looking forward, a durable solution to this problem would come from greater private sector participation, which should be encouraged, including by setting incentives for informal sector enterprises to migrate to the formal sector. Further, the strengthening of the centralized credit registry would help contain credit risk, and the implementation of the anti-money laundering framework would help strengthen governance.

48. **Staff recommends that the next Article IV consultation with Chad be held on the regular 12-month consultation cycle, in accordance with the decision on Article IV consultation cycles.**

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Table 1. Chad: Selected Economic and Financial Indicators, 2009–2017

	2009	2010	2011		2012		2013	2014	2015	2016	2017
			Art. IV ¹	Est.	Art. IV ¹	Proj.	Projections				
(Annual percentage change, unless otherwise indicated)											
Real economy											
GDP at constant prices	-1.2	13.0	3.1	0.5	7.4	5.4	7.7	10.5	8.2	3.4	3.5
Oil GDP	-5.1	6.4	-1.8	-2.5	10.4	-1.3	11.3	27.3	14.8	-4.6	-4.1
Non-oil GDP	0.0	15.0	3.6	1.4	6.0	7.1	6.8	6.3	6.2	5.9	5.7
Consumer price index (period average)	-2.1	-2.1	2.0	1.9	5.0	8.2	3.0	3.0	3.0	3.0	3.0
Consumer price index (end of period)	4.7	-2.2	...	10.8	...	6.0	3.0	3.0	3.0	3.0	3.0
Oil prices											
WEO (US\$/barrel) ²	61.8	79.0	106.3	104.0	105.3	106.2	105.1	100.6	96.4	92.8	88.9
Chadian price (US\$/barrel) ³	55.5	73.6	99.8	97.7	98.8	103.7	100.1	92.6	88.4	84.8	82.4
Oil production (millions of barrels)	43.6	44.7	44.2	43.6	46.8	42.0	46.3	59.4	69.1	65.7	62.8
Exchange rate FCFA per US\$ (period average)	471.0	494.4	459.9	471.4	458.8	...	...	...	...	...	...
Money and credit ⁴											
Net foreign assets	-80.2	13.5	42.1	25.4	25.1	-16.9	9.3	14.4	31.2	25.2	21.6
Net domestic assets	81.3	13.2	-29.4	-13.2	-16.0	27.6	0.1	-5.4	-22.3	-16.5	-13.1
Of which : net claims on central government	72.5	8.7	-33.1	-19.2	-19.6	10.0	-11.0	-13.6	-30.6	-25.1	-20.9
Of which : credit to private sector	5.5	8.4	3.7	7.8	3.6	6.8	6.9	6.7	6.9	7.1	7.3
Broad money	1.1	26.8	12.7	12.2	9.1	10.8	9.4	9.0	8.9	8.7	8.5
Income velocity (non-oil GDP/broad money)	4.5	4.3	4.3	4.2	4.3	4.3	4.3	4.3	4.3	4.3	4.3
External sector (valued in CFA francs)											
Exports of goods and services, f.o.b.	-27.5	20.7	29.0	20.2	-3.6	1.2	-1.6	13.1	13.7	-7.8	-5.9
Imports of goods and services, f.o.b.	20.5	16.1	-13.9	9.4	-27.3	-0.4	-0.8	3.2	-1.6	-0.8	-3.7
Export volume	-7.9	-3.0	1.0	-3.9	-3.4	-8.7	-9.7	-5.1	-4.0	-4.3	-4.1
Import volume	27.5	18.8	-10.2	7.5	-21.7	-0.3	-0.6	3.4	-1.7	-1.2	-4.5
Overall balance of payments (percent of GDP)	-10.6	-4.2	5.5	3.4	3.6	-2.1	0.4	0.9	3.1	2.7	2.4
Current account balance, including official transfers (percent of GDP)	-18.3	-3.5	-23.9	-1.0	-16.9	-1.1	-3.3	0.7	5.4	3.1	2.2
Terms of trade	-44.9	30.6	24.0	22.9	0.2	10.9	9.3	19.4	18.2	-4.1	-2.7
External debt (in percent of GDP)	23.0	25.0	23.8	26.4	23.8	27.6	26.8	25.2	24.3	25.5	26.1
NPV of external debt (percent of exports of goods and services)	39.7	48.1	38.4	56.7	41.7	58.9	61.5	57.2	52.6	59.3	65.3
(Percent of non-oil GDP, unless otherwise indicated)											
Government finance											
Revenue	25.2	38.7	44.0	46.5	38.0	40.3	36.2	37.3	41.3	36.6	33.2
Of which : non-oil	12.0	12.5	10.6	11.0	11.7	10.4	10.9	11.6	12.2	12.5	12.8
Expenditure	46.1	49.9	42.1	44.9	36.1	49.5	44.6	41.9	38.9	35.8	34.6
Current	29.7	29.6	25.0	25.8	20.1	25.6	23.6	23.0	21.8	19.4	19.2
Capital	16.5	20.2	17.2	19.2	16.0	23.9	21.0	18.8	17.1	16.4	15.3
Non-oil primary balance (commitment basis, excl. grants) ⁵	-28.1	-31.2	-26.2	-28.1	-19.2	-29.2	-25.0	-21.6	-18.5	-15.5	-14.5
Overall fiscal balance (excl. grants, commitments basis)	-20.9	-11.2	1.8	1.6	1.9	-9.2	-8.4	-4.5	2.3	0.8	-1.4
Overall fiscal balance (excl. grants, cash basis)	-20.8	-9.3	3.9	-2.3	0.7	-6.9	-8.6	-4.6	2.3	0.7	-1.3
Total debt (in percent of GDP) ⁶	30.5	30.5	29.5	35.9	27.9	35.4	36.4	34.3	31.7	32.1	32.2
Of which : domestic debt ⁶	7.5	5.5	5.7	9.5	4.1	7.8	9.6	9.1	7.4	6.7	6.1
Memorandum items:											
Nominal GDP (in billions of CFA francs) ⁷	3,344	4,230	4,476	4,970	4,537	5,625	6,171	7,004	7,686	7,768	7,954
Of which: non-oil GDP	2,138	2,584	2,912	2,859	3,128	3,224	3,527	3,845	4,186	4,551	4,940
Nominal GDP (in billions of US\$) ⁷	7.1	8.6	9.7	10.5	9.9	10.9	11.7	13.2	14.4	14.5	14.8
Of which: non-oil GDP	4.5	5.2	6.3	6.1	6.8	6.2	6.7	7.2	7.8	8.5	9.2

Sources: Chadian authorities; and IMF staff estimates and projections.

¹IMF Country Report No. 11/302; Chad-Staff Report for the 2011 Article IV Consultation.

²WEO 2012 Summer Production.

³Chadian oil price is WEO price minus quality discount.

⁴Changes as a percent of broad money stock at the beginning of period.

⁵Defined as the total revenue excluding grants and oil revenue, minus total expenditure excluding net interest payments and foreign-financed investment.

⁶Central government, including government-guaranteed debt.

⁷GDP using National Accounts, base year 1995.

Table 2. Chad: GDP Per Sector, 2009–2017

(Annual percentage change, unless otherwise indicated)

		2009	2010	2011		2012		2013	2014	2015	2016	2017
	Weight ¹			Art. IV ²	Est.	Art. IV ²	Proj.	Projections				
Primary sector	41	-6.0	19.7	-4.8	-9.7	4.8	1.5	8.4	19.2	12.3	-1.8	-1.4
Agriculture	9	-11.5	85.0	-15.4	-30.6	5.1	11.9	6.0	5.9	5.2	4.8	4.4
Food crops	8	-8.3	85.3	-16.3	-32.7	5.0	11.4	4.8	4.7	4.0	4.0	4.0
Industrial crops	0	-51.2	78.0	7.3	20.1	7.4	18.0	21.0	19.0	17.0	12.0	8.0
Livestock	9	-1.8	1.5	2.5	2.5	2.3	2.3	3.0	3.0	3.0	3.0	3.0
Forestry and Fishing	2	5.8	7.0	2.5	2.5	2.3	2.3	2.9	3.0	3.0	3.0	3.0
Oil and Gas Extraction	22	-6.3	2.7	-1.1	-1.1	5.8	-3.8	10.3	28.3	16.2	-4.9	-4.4
Secondary sector	11	1.4	4.6	25.1	14.0	20.5	10.6	9.8	8.9	8.2	6.6	5.5
Manufacturing (non petroleum)	2	-0.3	0.2	13.5	22.1	15.1	19.8	23.1	20.9	18.7	13.2	8.8
Of which : cotton processing	2	-9.7	-10.5	20.0	22.1	33.0	17.6	42.9	42.9	42.9	3.3	3.3
Handicrafts	1	-33.8	-49.6	60.9	27.5	27.3	5.4	5.0	4.8	4.8	4.8	4.6
Utilities	5	5.0	5.3	10.8	10.8	7.2	12.1	10.0	9.3	9.3	7.3	7.0
Construction	1	8.7	14.5	14.4	14.4	38.5	11.8	6.5	4.1	1.7	0.8	1.9
Of which : oil related	3	3.4	12.4	-2.1	1.5	1.0	20.3	5.8	1.2	-3.8	-6.7	-4.5
Refinery	...	...	...	...	...	...	71.5	52.0	43.7	4.3	3.9	2.4
Tertiary sector	44	2.8	8.8	7.0	7.0	5.2	6.7	7.2	6.4	6.4	6.4	6.4
Commerce, transport	21	-0.6	16.6	6.9	6.9	5.0	5.6	6.7	6.6	6.6	6.6	6.6
Commerce	18	-0.5	17.7	4.9	4.9	4.5	4.5	5.8	5.8	5.8	5.8	5.8
Transport	2.6	-1.6	8.9	21.5	21.5	8.0	12.3	11.7	10.7	10.7	10.7	10.7
General government	15.5	11.7	0.2	5.5	5.5	5.2	5.0	5.0	5.0	5.0	5.0	5.0
Other	8.1	-3.3	5.7	-7.3	10.4	6.0	13.0	12.1	8.0	8.0	8.0	8.0
Total GDP	100.0	-1.2	13.0	3.1	0.5	7.4	5.4	7.7	10.5	8.2	3.4	3.5
Oil GDP (including investment)	23	-5.1	6.4	-1.8	-2.5	10.4	-1.3	11.3	27.3	14.8	-4.6	-4.1
Non-oil GDP	77	0.0	15.0	3.6	1.4	6.0	7.1	6.8	6.3	6.2	5.9	5.7

Sources: Chadian authorities; and IMF staff estimates and projections.

¹ Share of 2009 GDP.

² IMF Country Report No. 11/302; Chad-Staff Report for the 2011 Article IV Consultation.

CHAD

Table 3a. Chad: Fiscal Operations of the Central Government, 2009–2017

(Billions of CFA francs, unless otherwise indicated)

	2009	2010	2011		2012			2013	2014	2015	2016	2017
			Art. IV ¹	Est.	Art. IV ¹	LFR ²	Proj.	Projections				
Revenue	540	1,000	1,280	1,331	1,189	1,328	1,298	1,277	1,436	1,727	1,666	1,639
Oil	284	676	973	1,017	823	963	963	892	989	1,218	1,096	1,005
Non-oil	256	324	308	314	366	365	335	385	447	509	570	634
Tax	239	313	288	296	336	338	309	360	417	473	519	569
Non-tax	16	11	19	18	30	27	27	25	30	36	51	65
Expenditure	987	1,289	1,227	1,284	1,129	1,604	1,595	1,574	1,610	1,630	1,628	1,707
Current	634	766	727	736	628	813	825	834	885	913	881	951
Wages and salaries	201	216	263	250	299	283	283	310	335	360	391	425
Goods and services	110	111	79	87	153	147	147	159	173	188	205	222
Transfers and subsidies	302	411	362	364	156	348	348	317	323	307	228	247
Interest	21	29	23	35	19	34	46	47	54	58	57	56
Domestic	5	14	13	25	9	17	17	20	26	27	24	21
External	16	16	10	10	10	17	29	27	29	31	33	36
Investment	353	522	500	548	500	792	770	740	725	717	747	757
Domestically financed	242	392	368	416	344	499	499	476	442	419	432	425
Foreign financed	111	130	132	132	156	293	271	264	282	298	315	332
Overall balance (excl. grants, commitment)	-447	-288	54	46	60	-276	-296	-297	-173	97	38	-68
Non-oil primary balance (excl. grants, commitment) ³	-601	-805	-764	-804	-600	-912	-942	-882	-832	-774	-707	-717
Change in arrears ⁴	-83	-159	-142	-166	-202	...	-50	-124	-119	-117	-114	-108
Float ⁵	85	142	202	50	163	...	124	119	117	114	108	112
Errors and omissions	2	64	...	3	...	...	...	...	...	...	...	...
Overall balance (excl. grants, cash)	-444.1	-240.6	113	-66	22	...	-222	-302	-175	94	32	-65
Financing	444	241	-113	66	-22	...	222	302	175	-94	-32	65
Domestic financing	327	60	-212	-22	-146	...	-15	113	-28	-310	-262	-221
Bank financing	328	50	-198	-110	-132	...	67	-82	-112	-273	-245	-221
Central Bank (BEAC)	327	49	-190	-106	-148	...	92	-50	-88	-263	-235	-211
Deposits	211	-23	-145	-100	-105	...	117	-27	-65	-242	-214	-190
Advances (net)	120	76	-42	0	-42	...	-21	-21	-21	-21	-21	-21
IMF (reimbursement)	-4	-4	-4	-5	-2	...	-4	-2	-2	-1	0	0
Commercial banks	0	0	-7	-5	16	...	-25	-32	-24	-10	-10	-10
Non-bank financing (net)	-1	0	-14	88	-14	...	-82	195	83	-36	-18	0
Privatization	1	10	0	1	0	...	0	0	0	0	0	0
Foreign financing	117	181	98	88	124	...	237	190	204	215	231	286
Grants	115	69	80	91	108	...	103	104	117	127	137	148
Budget support	35	0	0	0	0	...	0	0	0	0	0	0
Project grants	80	69	80	91	108	...	103	104	117	127	137	148
Loans (net)	1	112	18	-3	16	...	134	86	87	88	93	138
Disbursements	30	157	51	41	61	...	168	160	165	171	177	184
Budget borrowings	0	141	0	0	0	...	0	0	0	0	0	0
Project loans	59	61	85	41	61	...	168	160	165	171	177	184
Amortization	-29	-45	-33	-44	-32	...	-34	-74	-79	-83	-84	-46
<i>Memorandum items:</i>												
Non-oil GDP	2,138	2,584	2,912	2,859	3,128	3,245	3,224	3,527	3,845	4,186	4,551	4,940
Bank deposits (mostly BEAC)	82	105	250	205	354	...	88	115	180	422	636	826
(Months of domestically-financed spending)	1.1	1.1	2.7	2.1	4.4	...	0.8	1.1	1.6	3.8	5.8	7.2
BEAC statutory advances	142	166	166	209	167	...	188	167	146	125	104	83

Sources: Chadian authorities; and IMF staff estimates and projections.

¹IMF Country Report No. 11/302; Chad-Staff Report for the 2011 Article IV Consultation.

²Supplementary budget.

³Total revenue, less grants and oil revenue, minus total expenditures, less net interest payments and foreign financed investment.

⁴Before 2013, clearance of arrears, in excess of float, accrued in prior fiscal years. From 2013 forward, equal to prior fiscal year's float.

⁵Difference between committed and cash expenditure.

Table 3b. Chad: Integrated Financial Balance Sheet of the Central Government, 2009–2017¹

(Billions of CFA francs, unless otherwise indicated)

	2009	2010	2011		2012			2013	2014	2015	2016	2017
			Art. IV ²	Est.	Art. IV ²	LFR ³	Proj.	Projections				
Revenue	655	1,069	1,361	1,422	1,297	1,431	1,402	1,380	1,553	1,854	1,803	1,787
Taxes	433	781	1,002	1,055	940	972	943	1,004	1,092	1,326	1,286	1,270
Of which : income tax related to oil activities	194	469	714	759	604	634	634	645	675	853	766	702
Grants	115	69	80	91	108	103	103	104	117	127	137	148
Other revenue	107	219	278	276	249	356	356	272	344	401	380	368
Of which : interest	1	0	0	0	12	0	0	4	6	9	21	32
Of which : rent (oil revenue)	90	208	259	258	219	329	329	247	315	365	329	304
Expenditure	987	1,289	1,227	1,284	1,129	1,604	1,595	1,574	1,610	1,630	1,628	1,707
Expense	634	766	727	736	628	813	825	834	885	913	881	951
Compensation of employees	201	216	263	250	299	283	283	310	335	360	391	425
Use of goods and services	110	111	79	87	153	147	147	159	173	188	205	222
Interest	21	29	23	35	19	34	46	47	54	58	57	56
To nonresidents	16	16	10	10	10	17	29	27	29	31	33	36
To residents other than general government	5	14	13	25	9	17	17	20	26	27	24	21
Subsidies	66	115	125	98	64	154	154	129	102	96	55	59
Grants	44	76	83	65	42	103	103	86	68	64	36	40
Other expense	193	220	154	201	50	91	91	102	154	147	137	148
Net acquisition of nonfinancial assets	353	522	500	548	500	792	770	740	725	717	747	757
Domestically financed	242	392	368	416	344	499	499	476	442	419	432	425
Foreign financed	111	130	132	132	156	293	271	264	282	298	315	332
Net lending/borrowing	-332	-220	134	137	168	-173	-193	-193	-57	224	175	80
Primary non-oil net lending/ borrowing ⁴	-596	-867	-815	-845	-648	-1,102	-1,110	-1,038	-991	-936	-863	-869
Financial assets	-213	13	145	100	105	...	-117	27	65	242	214	190
Domestic	-213	13	145	100	105	...	-117	27	65	242	214	190
Currency and deposits ("+" = buildup)	-212	23	145	100	105	...	-117	27	65	242	214	190
BEAC	-211	23	145	100	105	...	-117	27	65	242	214	190
Commercial banks	-1	0	0	0	0	...	0	0	0	0	0	0
Equity and investment fund shares	-1	-10	0	-1	0	...	0	0	0	0	0	0
Foreign	0	0	0	0	0	...	0	0	0	0	0	0
Liabilities	117	169	11	-41	-64	...	76	221	122	17	38	110
Domestic	116	56	-7	-38	-80	...	-58	135	35	-71	-55	-27
Currency and deposits	0	0	0	0	0	...	0	0	0	0	0	0
Loans	114	73	-67	78	-41	...	-132	140	37	-68	-49	-31
Of which : BEAC	116	72	-46	-5	-44	...	-25	-23	-22	-22	-21	-21
Of which : commercial banks	0	0	-7	-5	16	...	-25	-32	-24	-10	-10	-10
Other accounts payable	1	-17	60	-115	-39	...	74	-5	-2	-3	-6	4
Foreign	1	112	18	-3	16	...	134	86	87	88	93	138
Loans	1	112	18	-3	16	...	134	86	87	88	93	138
Statistical discrepancies	-2	-64	0	-3	0	...	0	0	0	0	0	0
Memorandum items:												
Non-oil GDP	2,138	2,584	2,912	2,859	3,128	3,245	3,224	3,527	3,845	4,186	4,551	4,940
Oil revenue	284	676	973	1,017	823	963	963	892	989	1,218	1,096	1,005
Non-oil revenue	371	393	388	405	474	365	335	385	447	509	570	634
Deposits in banks (mostly BEAC)	82	105	250	205	354	...	88	115	180	422	636	826
(Months of domestically financed spending)	1.1	1.1	2.7	2.1	4.4	...	0.8	1.1	1.6	3.8	5.8	7.2

Sources: Chadian authorities; and IMF staff estimates and projections.

¹ Presentation of fiscal table according to *Government Finance Statistics Manual 2001*.

² IMF Country Report No. 11/302; Chad-Staff Report for the 2011 Article IV Consultation.

³ Supplementary budget.

⁴ Total revenue, less oil rent and income tax related to oil activities, minus total expenditure, less interest payments.

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Table 4a. Chad: Fiscal Operations of the Central Government, 2009–2017
(Percent of non-oil GDP, unless otherwise indicated)

	2009	2010	2011		2012			2013	2014	2015	2016	2017
			Art. IV ¹	Est.	Art. IV ¹	LFR ²	Proj.	Projections				
Revenue	25.2	38.7	44.0	46.5	38.0	40.9	40.3	36.2	37.3	41.3	36.6	33.2
Oil	13.3	26.2	33.4	35.6	26.3	29.7	29.9	25.3	25.7	29.1	24.1	20.4
Non-oil	12.0	12.5	10.6	11.0	11.7	11.2	10.4	10.9	11.6	12.2	12.5	12.8
Tax	11.2	12.1	9.9	10.4	10.7	10.4	9.6	10.2	10.9	11.3	11.4	11.5
Non-tax	0.8	0.4	0.7	0.6	1.0	0.8	0.8	0.7	0.8	0.9	1.1	1.3
Expenditure	46.1	49.9	42.1	44.9	36.1	49.4	49.5	44.6	41.9	38.9	35.8	34.6
Current	29.7	29.6	25.0	25.8	20.1	25.1	25.6	23.6	23.0	21.8	19.4	19.2
Wages and salaries	9.4	8.3	9.0	8.8	9.6	8.7	8.8	8.8	8.7	8.6	8.6	8.6
Goods and services	5.2	4.3	2.7	3.0	4.9	4.5	4.6	4.5	4.5	4.5	4.5	4.5
Transfers and subsidies	14.1	15.9	12.4	12.7	5.0	10.7	10.8	9.0	8.4	7.3	5.0	5.0
Interest	1.0	1.1	0.8	1.2	0.6	1.1	1.4	1.3	1.4	1.4	1.3	1.1
Domestic	0.2	0.5	0.4	0.9	0.3	0.5	0.5	0.6	0.7	0.6	0.5	0.4
External	0.7	0.6	0.4	0.4	0.3	0.5	0.9	0.8	0.7	0.7	0.7	0.7
Investment	16.5	20.2	17.2	19.2	16.0	24.4	23.9	21.0	18.8	17.1	16.4	15.3
Domestically financed	11.3	15.2	12.6	14.6	11.0	15.4	15.5	13.5	11.5	10.0	9.5	8.6
Foreign financed	5.2	5.0	4.5	4.6	5.0	9.0	8.4	7.5	7.3	7.1	6.9	6.7
Overall balance (excl. grants, commitment)	-20.9	-11.2	1.8	1.6	1.9	-8.5	-9.2	-8.4	-4.5	2.3	0.8	-1.4
Non-oil primary balance (excl. grants, commitment) ³	-28.1	-31.2	-26.2	-28.1	-19.2	-28.1	-29.2	-25.0	-21.6	-18.5	-15.5	-14.5
Change in arrears ⁴	-3.9	-6.2	-4.9	-5.8	-6.5	...	-1.6	-3.5	-3.1	-2.8	-2.5	-2.2
Float ⁵	4.0	5.5	6.9	1.8	5.2	...	3.9	3.4	3.1	2.7	2.4	2.3
Errors and omissions	0.1	2.5	...	0.1	...	...	...	...	...	...	...	...
Overall balance (excl. grants, cash)	-20.8	-9.3	3.9	-2.3	0.7	...	-6.9	-8.6	-4.6	2.3	0.7	-1.3
Financing	20.8	9.3	-3.9	2.3	-0.7	...	6.9	8.6	4.6	-2.3	-0.7	1.3
Domestic financing	15.3	2.3	-7.3	-0.8	-4.7	...	-0.5	3.2	-0.7	-7.4	-5.8	-4.5
Bank financing	15.3	1.9	-6.8	-3.9	-4.2	...	2.1	-2.3	-2.9	-6.5	-5.4	-4.5
Central Bank (BEAC)	15.3	1.9	-6.5	-3.7	-4.7	...	2.9	-1.4	-2.3	-6.3	-5.2	-4.3
Deposits	9.9	-0.9	-5.0	-3.5	-3.3	...	3.6	-0.8	-1.7	-5.8	-4.7	-3.9
Advances (net)	5.6	2.9	-1.4	0.0	-1.3	...	-0.6	-0.6	-0.5	-0.5	-0.5	-0.4
IMF (reimbursement)	-0.2	-0.1	-0.1	-0.2	-0.1	...	-0.1	-0.1	0.0	0.0	0.0	0.0
Commercial banks	0.0	0.0	-0.3	-0.2	0.5	...	-0.8	-0.9	-0.6	-0.2	-0.2	-0.2
Non-bank financing (net)	-0.1	0.0	-0.5	3.1	-0.5	...	-2.6	5.5	2.2	-0.9	-0.4	0.0
Privatization	0.0	0.4	0.0	0.0	0.0	...	0.0	0.0	0.0	0.0	0.0	0.0
Foreign financing	5.5	7.0	3.4	3.1	4.0	...	7.4	5.4	5.3	5.1	5.1	5.8
Grants	5.4	2.7	2.8	3.2	3.5	...	3.2	2.9	3.0	3.0	3.0	3.0
Budget support	1.6	0.0	0.0	0.0	0.0	...	0.0	0.0	0.0	0.0	0.0	0.0
Project grants	3.8	2.7	2.8	3.2	3.5	...	3.2	2.9	3.0	3.0	3.0	3.0
Loans (net)	0.1	4.3	0.6	-0.1	0.5	...	4.2	2.4	2.3	2.1	2.0	2.8
Disbursements	1.4	6.1	1.8	1.4	2.0	...	5.2	4.5	4.3	4.1	3.9	3.7
Budget borrowings	0.0	5.5	0.0	0.0	0.0	...	0.0	0.0	0.0	0.0	0.0	0.0
Project loans	2.8	2.4	2.9	1.4	2.0	...	5.2	4.5	4.3	4.1	3.9	3.7
Amortization	-1.4	-1.7	-1.1	-1.5	-1.0	...	-1.0	-2.1	-2.1	-2.0	-1.8	-0.9
<i>Memorandum items:</i>												
Non-oil GDP	2,138	2,584	2,912	2,859	3,128	3,245	3,224	3,527	3,845	4,186	4,551	4,940
Bank deposits (mostly BEAC)	3.8	4.1	8.6	7.2	11.3	...	2.7	3.3	4.7	10.1	14.0	16.7
(In months of domestically-financed spending)	1.1	1.1	2.7	2.1	4.4	...	0.8	1.1	1.6	3.8	5.8	7.2
BEAC statutory advances	6.6	6.4	5.7	7.3	5.3	...	5.8	4.7	3.8	3.0	2.3	1.7

Sources: Chadian authorities; and IMF staff estimates and projections.

¹IMF Country Report No. 11/302; Chad-Staff Report for the 2011 Article IV Consultation.

²Supplementary budget.

³Total revenue, less grants and oil revenue, minus total expenditures, less net interest payments and foreign financed investment.

⁴Before 2013, clearance of arrears, in excess of float, accrued in prior fiscal years. From 2013 forward, equal to prior fiscal year's float.

⁵Difference between committed and cash expenditure.

Table 4b. Chad: Integrated Financial Balance Sheet of the Central Government, 2009–2017¹

(Percent of non-oil GDP, unless otherwise indicated)

	2009	2010	2011		2012			2013	2014	2015	2016	2017
			Art. IV ²	Est.	Art. IV ²	LFR ³	Proj.	Projections				
Revenue	30.6	41.4	46.7	49.7	41.5	44.1	43.5	39.1	40.4	44.3	39.6	36.2
Taxes	20.3	30.2	34.4	36.9	30.0	30.0	29.2	28.5	28.4	31.7	28.2	25.7
Of which: income tax related to oil activities	9.1	18.1	24.5	26.5	19.3	19.5	19.7	18.3	17.5	20.4	16.8	14.2
Grants	5.4	2.7	2.8	3.2	3.5	3.2	3.2	2.9	3.0	3.0	3.0	3.0
Other revenue	5.0	8.5	9.5	9.6	8.0	11.0	11.0	7.7	8.9	9.6	8.4	7.5
Of which: interest	0.0	0.0	0.0	0.0	0.4	0.0	0.0	0.1	0.1	0.2	0.5	0.6
Of which: rent (oil revenue)	4.2	8.0	8.9	9.0	7.0	10.1	10.2	7.0	8.2	8.7	7.2	6.1
Expenditure	46.1	49.9	42.1	44.9	36.1	49.4	49.5	44.6	41.9	38.9	35.8	34.6
Expense	29.7	29.7	25.0	25.8	20.1	25.1	25.6	23.6	23.0	21.8	19.4	19.2
Compensation of employees	9.4	8.3	9.0	8.8	9.6	8.7	8.8	8.8	8.7	8.6	8.6	8.6
Use of goods and services	5.2	4.3	2.7	3.0	4.9	4.5	4.6	4.5	4.5	4.5	4.5	4.5
Interest	1.0	1.1	0.8	1.2	0.6	1.1	1.4	1.3	1.4	1.4	1.3	1.1
To nonresidents	0.7	0.6	0.4	0.4	0.3	0.5	0.9	0.8	0.7	0.7	0.7	0.7
To residents other than general government	0.2	0.5	0.4	0.9	0.3	0.5	0.5	0.6	0.7	0.6	0.5	0.4
Subsidies	3.1	4.4	1.1	3.4	2.0	4.7	4.8	3.7	2.6	2.3	1.2	1.2
Grants	2.0	3.0	6.1	2.3	1.4	3.2	3.2	2.4	1.8	1.5	0.8	0.8
Other expense	9.0	8.5	5.3	7.0	1.6	2.8	2.8	2.9	4.0	3.5	3.0	3.0
Net acquisition of nonfinancial assets	16.5	20.2	17.2	19.2	16.0	24.4	23.9	21.0	18.8	17.1	16.4	15.3
Domestically financed	11.3	15.2	12.6	14.6	11.0	15.4	15.5	13.5	11.5	10.0	9.5	8.6
Foreign financed	5.2	5.0	4.5	4.6	5.0	9.0	8.4	7.5	7.3	7.1	6.9	6.7
Net lending/ borrowing	-15.5	-8.5	4.6	4.8	5.4	-5.3	-6.0	-5.5	-1.5	5.4	3.9	1.6
Primary non-oil net lending/ borrowing ⁴	-27.9	-33.5	-28.0	-29.5	-20.7	-34.0	-34.4	-29.4	-25.8	-22.4	-19.0	-17.6
Financial assets	-10.0	0.5	5.0	3.5	3.3	...	-3.6	0.8	1.7	5.8	4.7	3.9
Domestic	-10.0	0.5	5.0	3.5	3.3	...	-3.6	0.8	1.7	5.8	4.7	3.9
Currency and deposits ("+" = buildup)	-9.9	0.9	5.0	3.5	3.3	...	-3.6	0.8	1.7	5.8	4.7	3.9
BEAC	-9.9	0.9	5.0	3.5	3.3	...	-3.6	0.8	1.7	5.8	4.7	3.9
Commercial banks	0.0	0.0	0.0	0.0	0.0	...	0.0	0.0	0.0	0.0	0.0	0.0
Equity and investment fund shares	0.0	-0.4	0.0	0.0	0.0	...	0.0	0.0	0.0	0.0	0.0	0.0
Foreign	0.0	0.0	0.0	0.0	0.0	...	0.0	0.0	0.0	0.0	0.0	0.0
Liabilities	5.5	6.5	0.4	-1.4	-2.0	...	2.4	6.3	3.2	0.4	0.8	2.2
Domestic	5.4	2.2	-0.3	-1.3	-2.6	...	-1.8	3.8	0.9	-1.7	-1.2	-0.5
Currency and deposits	0.0	0.0	0.0	0.0	0.0	...	0.0	0.0	0.0	0.0	0.0	0.0
Loans	5.3	2.8	-2.3	2.7	-1.3	...	-4.1	4.0	1.0	-1.6	-1.1	-0.6
Of which: BEAC	5.4	2.8	-1.6	-0.2	-1.4	...	-0.8	-0.7	-0.6	-0.5	-0.5	-0.4
Of which: commercial banks	0.0	0.0	-0.3	-0.2	0.5	...	-0.8	-0.9	-0.6	-0.2	-0.2	-0.2
Other accounts payable	0.1	-0.6	2.1	-4.0	-1.2	...	2.3	-0.1	0.0	-0.1	-0.1	0.1
Foreign	0.1	4.3	0.6	-0.1	0.5	...	4.2	2.4	2.3	2.1	2.0	2.8
Loans	0.1	4.3	0.6	-0.1	0.5	...	4.2	2.4	2.3	2.1	2.0	2.8
Statistical discrepancies	-0.1	-2.5	0.0	-0.1	0.0	...	0.0	0.0	0.0	0.0	0.0	0.0
Memorandum items:												
Non-oil GDP	2,138	2,584	2,912	2,859	3,128	3,245	3,224	3,527	3,845	4,186	4,551	4,940
Oil revenue	13.3	26.2	33.4	35.6	26.3	29.7	29.9	25.3	25.7	29.1	24.1	20.4
Non-oil revenue	17.4	15.2	13.3	14.2	15.2	11.2	10.4	10.9	11.6	12.2	12.5	12.8
Deposits in banks (mostly BEAC)	3.8	4.1	8.6	7.2	11.3	...	2.7	3.3	4.7	10.1	14.0	16.7
(Months of domestically financed spending)	1.1	1.1	2.7	2.1	4.4	...	0.8	1.1	1.6	3.8	5.8	7.2

Sources: Chadian authorities; and IMF staff estimates and projections.

¹ Presentation of fiscal table according to *Government Finance Statistics Manual 2001*.

² IMF Country Report No. 11/302; Chad-Staff Report for the 2011 Article IV Consultation.

³ Supplementary budget.

⁴ Total revenue, less oil rent and income tax related to oil activities, minus total expenditure, less interest payments.

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Table 5. Chad: Balance of Payments, 2009–2017
(Billions of CFA francs, unless otherwise indicated)

	2009	2010	2011		2012		2013	2014	2015	2016	2017
	Est.		Art. IV ¹	Est.	Art. IV ¹	Proj.	Projections				
Current account	-137	-213	-1,069	-48	-767	-63	-204	49	416	243	174
Trade balance, incl. oil sector	374	569	430	760	611	805	693	907	1,304	1,016	921
Exports, f.o.b.	1,320	1,752	2,153	2,032	2,016	2,279	2,291	2,623	3,021	2,778	2,608
Of which: oil	1,153	1,602	1,929	1,836	1,790	2,058	2,048	2,348	2,707	2,453	2,267
Imports, f.o.b.	-946	-1,183	-1,723	-1,272	-1,405	-1,474	-1,599	-1,716	-1,716	-1,762	-1,688
Services (net)	-672	-923	-1,369	-928	-1,201	-950	-859	-831	-797	-738	-719
Income (net)	-182	-176	-467	-148	-534	-392	-334	-336	-414	-371	-378
Transfers (net)	344	317	338	268	358	474	295	309	323	336	350
Official (net)	35	22	26	17	28	20	22	24	27	29	32
Private (net)	309	294	312	251	329	454	273	285	296	307	318
Financial and capital account	-98	-30	1,313	145	932	-54	232	16	-174	-30	16
Capital transfers	49	59	80	85	108	100	100	113	123	134	145
Foreign direct investment	177	155	875	133	561	92	165	-112	-150	-64	-54
Other medium and long term investment	27	65	9	99	7	124	76	77	79	84	128
Public sector	36	74	18	108	16	134	86	87	88	93	138
Private sector	-9	-9	-9	-9	-9	-10	-10	-10	-10	-10	-10
Short-term capital	-351	-309	349	-172	255	-370	-110	-62	-227	-184	-202
Errors and omissions	-116	249	...	72	...	...	...	...	...	...	...
Overall balance	-350	5	244	169	165	-117	27	65	242	214	190
Financing	350	-5	-244	-169	-165	117	-27	-65	-242	-214	-190
Net foreign assets (BEAC)	350	-5	-244	-169	-165	117	-27	-65	-242	-214	-190
<i>Memorandum items:</i>											
Gross official reserves (imputed reserves, billions of U.S. dollars)	0.6	0.6	5.8	1.0	0.8	1.2	1.0	1.1	1.2	1.6	2.0
(Months of imports of goods and services)	1.6	1.5	2.4	2.3	3.7	3.0	2.4	2.5	2.8	4.0	5.0
(Idem, excluding oil sector imports)	1.9	1.8	0.8	2.8	1.1	4.0	3.3	3.4	3.7	5.0	6.0

Sources: Chadian authorities; and IMF staff estimates and projections.

¹ IMF Country Report No. 11/302; Chad-Staff Report for the 2011 Article IV Consultation.

Table 6. Chad: Monetary Survey, 2009–2013
(Billions of CFA francs)

	2009	2010	2011		2012		2013
			Art. IV ¹	Est.	Art. IV ¹	Proj.	Proj.
Net foreign assets	238.3	302.7	586.1	455.7	754.9	341.6	411.2
Central bank	227.4	262.0	538.2	430.5	703.1	313.4	340.7
Commercial banks	10.9	40.7	47.9	25.2	51.8	28.2	70.6
Net domestic assets	237.8	300.5	86.8	221.1	-20.5	408.1	409.0
Domestic credit	267.7	349.0	178.7	280.6	71.3	393.9	363.7
Claims on the government (net)	63.6	105.1	-87.3	-10.6	-219.0	56.8	-25.4
Treasury (net)	110.8	141.9	-25.0	-3.4	-159.9	61.9	-24.1
Banking sector	72.5	133.6	-30.9	-9.3	-162.6	58.0	-24.1
Central bank	88.0	154.1	-3.1	20.0	-151.1	112.3	62.0
Commercial banks	-16.2	-21.1	-28.4	-29.9	-12.0	-54.8	-86.7
CCP	0.8	0.6	0.6	0.6	0.6	0.6	0.6
Fund position	38.3	8.3	5.9	5.9	2.7	3.8	0.0
Other non-treasury	-47.2	-36.8	-62.3	-7.2	-59.1	-5.1	-5.1
Credit to the economy	204.1	243.9	266.0	291.2	290.3	337.1	389.1
Other items (net)	-29.9	-48.5	-91.8	-59.5	-91.8	14.2	45.3
Money and quasi money	475.9	603.2	672.9	676.8	734.4	749.7	820.2
Currency outside banks	280.1	333.9	363.8	356.2	395.2	394.6	410.1
Demand deposits	162.7	230.8	240.7	269.7	262.1	298.7	335.0
Time and savings deposits	33.1	35.3	68.4	50.9	77.1	56.4	75.1
<i>Memorandum items:</i>							
Broad money (annual percentage change)	1.1	26.8	12.7	12.2	9.1	10.8	9.4
Credit to the economy (annual percentage change)	14.6	19.5	9.1	19.4	9.1	15.8	15.4
Credit to the economy (percent of GDP)	6.1	5.8	5.9	5.9	6.4	6.0	6.3
Credit to the economy (percent of non-oil GDP)	9.5	9.4	9.1	10.2	9.3	10.5	11.0
Velocity (non-oil GDP)	4.5	4.3	4.3	4.2	4.3	4.3	4.3
Velocity (total GDP)	7.0	7.0	6.7	7.3	6.2	7.5	7.5
Net claims on the government (flows)	341.2	41.5	-197.8	-115.7	-131.7	67.4	-82.2

Sources: Chadian authorities; and IMF staff estimates and projections.

¹IMF Country Report No. 11/302; Chad-Staff Report for the 2011 Article IV Consultation.

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Table 7. Chad: Financial Soundness Indicators, 2007–2011

	2007	2008	2009	2010	2011
Capital adequacy					
Regulatory capital / Risk-weighted assets	11.1	13.3	12.1	6.7	19.7
Asset quality					
Gross nonperforming loans/Gross banking loans	11.2	8.0	10.4	12.1	9.8
Provisions / Nonperforming loans	84.4	70.2	64.6	73.5	75.6
Net nonperforming loans/Gross banking loans	1.7	2.4	3.7	3.2	2.4
Profitability					
Return on assets	2.7	3.9	1.3	3.7	2.4
Return on equity	26.3	36.4	11.4	39.4	11.7
Liquidity					
Liquid assets / Total assets	28.3	19.6	17.9	18.2	29.9
Liquid assets / Demand deposits	66.3	82.4	85.2	73.8	75.2
Banks' ratings (number of banks rated)					
Solid or Good	6	4	4	3	5
Fragile	0	1	1	1	2
Critical	0	1	1	2	0
Not rated	1	1	2	2	1
Total	7	7	8	8	8

Sources: BEAC/COBAC.

Table 8. Chad: Millennium Development Goals, 1990–2011¹

	1990	1995	2000	2005	2011	2011 SSA
Goal 1: Eradicate extreme poverty and hunger						
Employment to population ratio, 15+, total (%)	66.8	67.0	66.7	66.6	66.7	39.1
Employment to population ratio, ages 15–24, total (%)	49.3	49.2	49.1	49.2	49.1	13.0
Income share held by lowest 20%	...	...	...	6.3	...	2.7
Malnutrition prevalence, weight for age (% of children under 5)	...	34.3	29.4	33.9	...	...
Poverty gap at \$1.25 a day (PPP) (%)	...	...	...	25.6	16.5 ²	2.3
Poverty headcount ratio at \$1.25 a day (PPP) (% of population)	...	...	...	61.9	46.7 ²	13.8
Vulnerable employment, total (% of total employment)	...	93.7	...	...	...	10.1
Goal 2: Achieve universal primary education						
Literacy rate, youth female (% of females ages 15–24)	...	9.0	23.2	30.8	39.0	...
Literacy rate, youth male (% of males ages 15–24)	...	26.2	55.7	53.7	53.5	...
Persistence to last grade of primary, total (% of cohort)	25.5	20.9	46.9	30.1	27.8	...
Primary completion rate, total (% of relevant age group)	16.5	14.4	22.9	32.4	34.5	...
Total enrollment, primary (% net)	...	38.5	54.6	62.5	...	90.0
Goal 3: Promote gender equality and empower women						
Proportion of seats held by women in national parliaments (%)	...	17.0	2.0	6.5	12.8	44.5
Ratio of female to male primary enrollment (%)	43.8	48.3	61.1	67.5	72.9	95.8
Ratio of female to male secondary enrollment (%)	21.9	23.5	28.4	34.5	42.1	105.0
Ratio of female to male tertiary enrollment (%)	...	14.9	17.5	6.4	17.4	...
Share of women employed in the nonagricultural sector (% of total nonagricultural employment)	3.8	...	...	...	...	45.1
Goal 4: Reduce child mortality						
Immunization, measles (% of children ages 12–23 months)	32.0	26.0	28.0	32.0	46.0	65.0
Mortality rate, infant (per 1,000 live births)	113.0	109.0	105.0	101.0	97.1	34.6
Mortality rate, under-5 (per 1,000)	208.0	198.0	189.0	180.0	169.0	46.7
Goal 5: Improve maternal health						
Adolescent fertility rate (births per 1,000 women ages 15–19)	...	...	191.0	175.0	149.0	53.9
Births attended by skilled health staff (% of total)	...	15.0	16.3	14.4	22.7	...
Contraceptive prevalence (% of women ages 15–49)	...	4.1	7.9	2.8	4.8	...
Maternal mortality ratio (modeled estimate, per 100,000 live births)	920.0	1000.0	1100.0	1100.0	1100.0	300.0
Pregnant women receiving prenatal care (%)	...	23.4	41.6	38.9	53.1	...
Unmet need for contraception (% of married women ages 15–49)	...	9.7	...	20.7	...	...
Goal 6: Combat HIV/AIDS, malaria, and other diseases						
Children with fever receiving antimalarial drugs (% of children under age 5 with fever)	...	...	53.0	53.0	35.7	...
Condom use, population ages 15–24, female (% of females ages 15–24)	...	...	...	2.4	...	...
Condom use, population ages 15–24, male (% of males ages 15–24)	...	...	...	18.4	...	...
Incidence of tuberculosis (per 100,000 people)	125.0	181.0	262.0	315.0	276.0	981.0
Prevalence of HIV, female (% ages 15–24)	...	...	...	...	2.5	13.6
Prevalence of HIV, male (% ages 15–24)	...	...	...	...	1.0	4.5
Prevalence of HIV, total (% of population ages 15–49)	1.1	2.1	3.0	3.5	3.4	17.8
Tuberculosis case detection rate (% , all forms)	34.0	25.0	25.0	20.0	31.0	72.0
Goal 7: Ensure environmental sustainability						
Forest area (% of land area)	10.4	...	9.8	9.5	9.2	4.7
Improved sanitation facilities (% of population with access)	8.0	9.0	10.0	12.0	13.0	79.0
Improved water source (% of population with access)	39.0	42.0	45.0	48.0	51.0	91.0
Marine protected areas (% of total surface area)	...	...	...	...	...	6.5
Goal 8: Develop a global partnership for development						
Internet users (per 100 people)	0.0	0.0	0.0	0.4	1.9	20.9
Mobile cellular subscriptions (per 100 people)	0.0	0.0	0.1	2.2	31.8	127.0
Telephone lines (per 100 people)	0.1	0.1	0.1	0.1	0.3	8.2

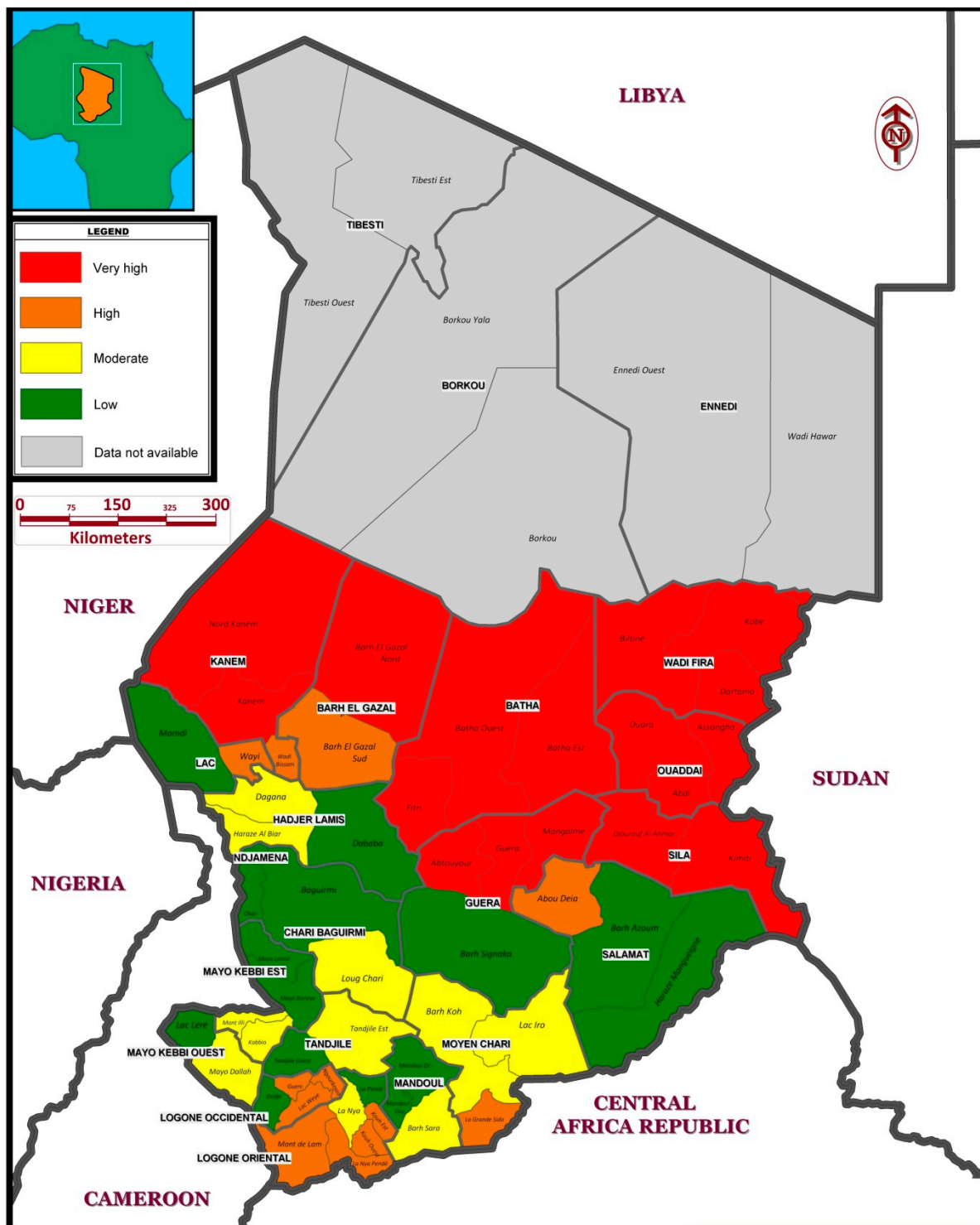
Source: World Development Indicators database (The World Bank).

¹Figures in italics refer to periods other than those specified.

²Based on the preliminary household survey issued in October 2012, using the poverty threshold defined as 2,400 kcal per day (the minimum daily calorie requirement). Using this definition, the corresponding values for poverty gap and poverty headcount ratio in 2003/2004 were 21.6% and 55%, respectively.

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ANNEX I. CHAD: LEVEL OF VULNERABILITY TO FOOD INSECURITY—DECEMBER 2011



Source: World Food Programme.

ANNEX II. CHAD: RISK ASSESSMENT MATRIX

Nature/Sources of Main Risks	Likelihood of realization in the Next Three Years	Expected Impact on Economy if Risk is Realized
A crisis-induced substantial decline in global oil prices	Staff assessment: Medium Spillovers from the Eurozone crisis could lower global growth, affecting commodity and oil prices. Independently, the softening of growth in Asia may also provoke a decline in the demand from oil.	Staff assessment: High Chad is highly dependent on oil, which accounts for more than 70 percent of fiscal revenues, about 90 percent of total exports of goods, and 35 percent of nominal GDP. Fiscal and external balances would deteriorate. The government has currently insufficient fiscal buffers.
A deterioration of the security situation, including through regional spillovers from Niger and Mali	Staff assessment: Medium The domestic security situation remains fragile. The possibility of a renewed insurgency cannot be ignored.	Staff assessment: High It could cause: (i) political instability; (ii) displacement of population and increased need for humanitarian aid; and (iii) increased security-related government expenditures.
A deepening of the food security crisis across the Sahel region	Staff assessment: Medium In Chad, agricultural production is expected to rebound in 2012 and policies to build resilience should help prevent a food crisis on a scale seen last year; however, the Sahel region is vulnerable to recurrent droughts and other natural disasters (e.g., cricket infestation).	Staff assessment: High It could affect Chad's most vulnerable population through a mixture of high food prices, mounting malnutrition and relative isolation. The ensuing fiscal needs could be high.
An intensification of strikes and social demands	Staff assessment: Medium The social situation remains tense. A public sector employees' strike over wage increases was initiated in early July before being suspended in September without any resolution. In late October, actions resumed in other forms, including intermittent renewable three-day strikes.	Staff assessment: Medium Protracted social tension may lead to unrest. The accommodation (a 25 percent wage increase has been rumored in the press) could lead to (i) weakening of the fiscal stance; (ii) demands for higher wages in the private sector; and (iv) deterioration of the competitiveness and lower non-oil growth potential.